

COVER SHEET

SEC Registration Number

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Company Name

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Principal Office (No./Street/Barangay/City/Town/Province)

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Form Type

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Department requiring the report

C	R	M	D
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Secondary License Type, if applicable

N	A	
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COMPANY INFORMATION

Company's Telephone Number/s

Company's Email Address

Mobile Number

info@harborstar.com.ph

(+632) 8886-3703

N/A

No. of Stockholders

116

Annual Meeting Month/Day

every last Wed. of May

Fiscal Year Month/Day

12/31

CONTACT PERSON INFORMATION

The designated contact person **MUST** be an Officer of the Corporation

Telephone

Mobile

Name of Contact Person

Email Address

Number/s

Number

Dany Cleo B. Uson

dbuson@harborstar.com.ph

(+632) 8886-3703

N/A

Contact Person's Address

2224 A. Bonifacio St., corner Pres. Sergio Osmeña Highway, Brgy. Bangkal, Makati City, 1233, Philippines

Note: In case of death, resignation, or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended September 30, 2025
2. Commission identification number 152897
3. BIR Tax Identification No. 201-128-653-000
4. Exact name of issuer as specified in its charter HARBOR STAR SHIPPING SERVICES INC.
5. Province, country or other jurisdiction of incorporation or organization Philippines
6. Industry Classification Code: _____ | (SEC Use Only)
7. Address of issuer's principal office _____ Postal Code _____
2224 A. Bonifacio St., cor. Pres. Sergio Osmeña Highway, Bangkal, Makati City, 1233
8. Issuer's telephone number, including area code (+632)-8886-37-03
9. Former name, former address and former fiscal year, if changed since last report

10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of each Class	Number of shares of common stock outstanding and amount of debt outstanding
<u>Common</u>	903,781,870
<u>Treasury</u>	13,271,000

11. Are any or all of the securities listed on a Stock Exchange?
Yes [☒] No [☐]

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

Philippine Stock Exchange

Common stock

12. Indicate by check mark whether the registrant:

(a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11 (a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)

Yes [☒] No [☐]

(b) has been subject to such filing requirements in the past 90 days

Yes [☒] No [☐]

PART I – FINANCIAL INFORMATION

Item 1. Financial Statements

The summary financial data as at and for the period ended September 30, 2025, are based on the interim unaudited financial statements as at and for the three months ended September 30, 2024, of Harbor Star Shipping Services, Inc. and its subsidiaries (the “Group”). The financial statements for the annual and interim period are prepared in accordance with Philippine Financial Reporting Standards (“PFRS”).

Item 2. Management’s Discussion and Analysis of Financial Condition and Results of Operations

Results of Operations

	For the Quarter Ended September 30,		% Change
	2025 (Unaudited)	2024 (Unaudited)	
Service income, net	812,215,630	885,650,533	(8.29%)
Cost of Services	570,911,809	641,812,556	(11.05%)
General and Admin. Expenses	107,360,308	104,036,289	3.20%
Other Income (Charges), net	(49,954,781)	(56,889,788)	(12.19%)
Net Income (Loss) Before Income Tax	83,988,732	82,911,900	(1.30%)

Service Income, Net

The Group has posted total net service income of P812.22 million for the three-month period ended September 30, 2025, or 8.29% lower than P885.65 million net service income posted in 2024 of the same period (Note 16).

Cost of Services

The Group’s total cost of services for the three-month period ended September 30, 2025, has decreased by 11.05% (P70.90 million) from P641.81 million in September 2024 to P570.91 million in September 2025 mainly due to reductions in fuel, supplies, depreciation, personnel cost, outside services, construction materials and others (Note 17).

General and Administrative Expenses

The Group’s general and administrative expenses for the three-month period ended, has increased by 3.20% (P3.32 million) from P104.04 million on September 30, 2024, to P107.36 million on September 30, 2025, mainly due to depreciation, professional fees, supplies, repairs and maintenance, transportation, taxes and license and others (Note 18).

Other Charges, Net

The other income (charges), net has decreased by 12.19% (P6.94 million) from P56.89 million on September 30, 2024, to P49.95 million on September 30, 2025, mainly due to the interest expenses on borrowings and loans posted for the three-month period ended.

Net Income (Loss) Before Tax

The pre-tax net income of the Group has increased by 1.30% (P1.08 million) from P82.91 million on September 30, 2024, to P83.99 million on September 30, 2025, mainly due to decrease in cost of sale.

Financial Condition

	As at September 30, 2025 (Unaudited)	As at December 31, 2024 (Audited)
Total Assets	7,424,887,444	7,336,973,826
Total Liabilities	5,005,414,846	5,058,044,383
Total Equity	2,419,472,598	2,278,929,443

Cash and Cash Equivalent

The account has decreased by 14.52% or (P55.61 million) from P383.03 million on December 31, 2024 to P327.42 million on September 30, 2025 mainly due to supplier payments from recurring activities and short-term borrowings for working capital requirements (Note 4).

Trade and Other Receivables, Net

The account has decreased by 5.26% (P71.38 million) from P1.35 billion on December 31, 2024 to P1.29 billion on September 30, 2025, mainly due to trade receivable on operations (Note 5).

Prepayments and Other Current Assets

The account has increased by 27.72% (P133.13 million) from P480.21 million on December 31, 2024 to P613.33 million on September 30, 2025, mainly due increase in refundable deposits, input tax and other prepayments (Note 6).

Property and Equipment at Cost, Net

The account has increased by 0.88% (P40.57 million) from P4.59 billion on December 31, 2024 to P4.64 billion on September 30, 2025, mainly due to drydocking cost and depreciation of the assets (Note 9).

Trade and Other Payables

The account has increased by 12.95% (P158.54 million) from P1.22 billion on December 31, 2024 to P1.38 billion on September 30, 2025, mainly due to trade payables related to operations, advances from employees and payable to government agencies and others (Note 13).

Borrowings, Current Portion

The account has decreased by 15.25% (P143.14 million) from P938.34 million on December 31, 2024 to P795.20 million on September 30, 2025 due to payment of borrowings (Note 14).

Lease Liabilities, Current Portion

The account has decreased by 58.28% (P4.23 million) from P7.25 million on December 31, 2024 to P3.03 million on September 30, 2025, due to repayment of borrowings (Note 14).

Borrowings, net of current portion

The account has decreased by 1.65% (P39.14 million) from P2.37 million on December 31, 2024 to P2.33 million on September 30, 2025 (Note 14).

Retained earnings (Deficit)

The account has a surplus of P86.37million, from P248.06 million in December 2024 to P334.43 million as of September 2025.

Discussion and Analysis of Material Events and Uncertainties

As at and for the periods ended September 30, 2025, and December 31, 2024:

- There are no other material changes in the Group's financial position (changes of 5.00% or more) and condition that will warrant a more detailed discussion.
- The Group is not aware of any known trends, or any known demands, commitments, events, or uncertainties that will result in or that are reasonably likely to result in the Group's liquidity increasing or decreasing in any material way.
- The Group is not aware of any event that would trigger a direct or contingent financial obligation that is material to the Group, including any default or acceleration of an obligation.
- All material off-balance sheet transactions, arrangements, obligations, and other relationships of the Group with unconsolidated entities or other persons created during the period were considered.
- There are no known trends, events, or uncertainties that have had or that are reasonably expected to have materially favorable or unfavorable impact on net revenues or income from continuing operations.
- The Group is not aware of any significant elements of income and loss that did not arise from the Group's continuing operations.
- The Group is not aware of any seasonal aspects that had a material effect on the financial condition or results of operations.

Comparative Key Performance Indicators

The Group uses the following financial metrics to assess its performance from period to period.

Financial Soundness Indicator	September 30 2025	September 30 2024	December 31 2024	December 31 2023
	(Unaudited)	(Unaudited)	(Audited)	(Audited)
Current Ratio	1.03:1	1.86:1	1.00:1	1.53:1
Quick Ratio	0.75:1	1.55:1	0.78:1	1.24:1
Debt-to-Equity Ratio	1.95:1	1.88:1	2.10:1	2.22:1
Asset-to-Equity Ratio	3.07:1	3.06:1	3.22:1	3.43:1
Interest Coverage Ratio	2.34:1	2.73:1	2.26:1	1.22:1
Net Profit Margin Ratio	7.84%	15%	6.22%	3.92%
Gross Profit Margin Ratio	29.71%	28.40%	29.20%	32.17%

Financial Risk Management Objectives and Policies

Please refer to Note 22 of the notes to the consolidated financial statements.

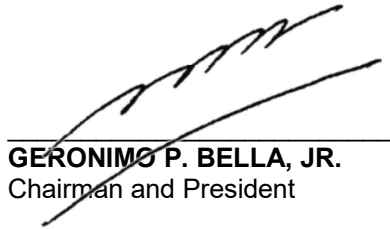
PART II - OTHER INFORMATION

There are no disclosures not reported under SEC Form 17-C.

SIGNATURES

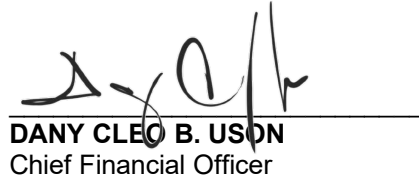
Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Issuer: **HARBOR STAR SHIPPING SERVICES, INC.**



GERONIMO P. BELLA, JR.
Chairman and President

Date signed:



DANY CLEO B. USÓN
Chief Financial Officer

Date signed: 11 November 2025

HARBOR STAR SHIPPING SERVICES, INC. AND ITS SUBSIDIARIES
17Q Unaudited Financial Statements with
Supplemental Schedules for the
Securities and Exchange Commission
September 30, 2025

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Aging of Trade and Other Receivables, net

Harbor Star Shipping Services, Inc. and Subsidiaries

Consolidated Statements of Financial Position (All amounts in Philippine Peso)

	Notes	September 30, 2025 (Unaudited) Consolidated	December 31, 2024 (Audited) Consolidated
ASSETS			
Current assets			
Cash and cash equivalents	4	327,422,457	383,033,395
Trade and other receivables, net	5	1,285,862,254	1,357,237,750
Advances to Related parties		28,908,507	-
Prepayments and other current assets	6	613,334,784	480,205,306
Total current assets		2,255,528,002	2,220,476,451
Non-current assets			
Property and equipment at revalued amounts, net	8	2,723,130,067	2,680,907,823
Property, plant and equipment at cost, net	9	1,914,484,940	1,916,137,010
Right-of-use assets, net		38,433,940	39,062,622
Computer software, net	10	9,089,580	8,556,758
Investment properties	11	69,983,207	69,983,207
Investment in subsidiaries and associates	7	147,460,440	147,460,440
Goodwill	1.2	-	-
Other non-current assets, net	12	266,777,268	254,389,050
Total non-current assets		5,169,359,442	5,116,496,910
Total assets		7,424,887,444	7,336,973,826
LIABILITIES AND EQUITY			
Current liabilities			
Trade and other payables	13	1,382,961,864	1,224,417,978
Borrowings, current portion	14	795,200,616	938,338,867
Lease liabilities, current portion	14	3,026,206	7,253,871
Advances from related parties	20	-	17,725,485
Income tax payable		1,050,334	35,967,073
Total current liabilities		2,182,239,020	2,223,703,247
Non-current liabilities			
Non-current portion of trade payable	13	9,298,942	9,298,942
Borrowings, net of current portion	14	2,332,062,750	2,371,207,554
Lease liability, non-current	14	39,208,159	38,966,037
Deferred income tax liabilities, net		263,543,120	236,833,783
Retirement benefit obligation		179,062,855	178,034,828
Total non-current liabilities		2,823,175,826	2,834,341,135
Total liabilities		5,005,414,846	5,058,044,383
Equity			
Share capital	15	907,857,870	907,857,870
Additional paid-in-capital		121,632,762	121,632,762
Revaluation surplus, net of tax	8	948,829,194	948,829,194
Cumulative translation difference		(9,537,639)	(6,068,601)
Fair value reserve on available-for-sale financial assets		(160,000)	(160,000)
Treasury stock	15	(37,614,990)	(37,614,990)
Retained earnings		392,076,806	248,064,613
		2,323,084,003	2,182,540,848
Non-controlling interest		96,388,595	96,388,595
Total equity		2,419,472,598	2,278,929,443
Total liabilities and equity		7,424,887,444	7,336,973,826

See accompanying Notes to Financial Statements

Harbor Star Shipping Services, Inc. and its Subsidiaries

Consolidated Statements of Total Comprehensive Income - Unaudited
(All amounts in Philippine Peso)

	Notes	Quarter Ending September 30,		Nine Months Ended September 30,	
		2025	2024	2025	2024
		Unaudited	Unaudited	Unaudited	Unaudited
Service income, net	16	812,215,630	885,650,533	2,105,909,813	2,276,333,426
Cost of services	17	(570,911,809)	(641,812,556)	(1,502,583,244)	(1,629,940,401)
Gross profit (loss)		241,303,821	243,837,977	603,326,569	646,393,025
General and administrative expenses	18	(107,360,308)	(104,036,289)	(317,408,971)	(297,823,775)
Other income, net		12,348,832	10,889,660	17,303,299	188,560,776
Operating profit (loss)		146,292,345	150,691,348	303,220,896	537,130,026
Finance cost					
Interest expense		(62,620,125)	(66,633,065)	(190,540,688)	(200,059,621)
Foreign exchange gains (losses), net		316,512	(1,146,383)	(3,486,840)	9,767,239
		(62,303,613)	(67,779,448)	(194,027,528)	(190,292,382)
Profit before income tax		83,988,732	82,911,900	109,193,368	346,837,644
Income tax expense	21	(20,301,412)	(1,936,083)	(22,822,498)	(6,198,954)
Profit (Loss) for the year		63,687,320	80,975,817	86,370,870	340,638,690
Profit (loss) attributable to:					
Owners of the parent		37,228,350	143,246,181	59,911,900	297,404,132
Non-controlling interest		26,458,970	(62,270,364)	26,458,970	43,234,558
		63,887,320	80,975,817	86,370,870	340,638,690
Earnings per share					
Basic and diluted	15	0.04	0.16	0.07	0.33

See accompanying Notes to Financial Statements

Harbor Star Shipping Services, Inc. and its Subsidiaries

Consolidated Statements of Changes in Equity - Unaudited
For the Nine Months Ended September 30, 2025, and 2024
(All amounts in Philippine Peso)

	Share Capital	Treasury Stock	Additional Paid-in Capital	Deposit for Future Subscription	Revaluation Surplus, Net of Tax	Cumulative Translation Differences	Fair Value Reserve on Available- For- Sale Financial Assets	Retained Earnings	Total	Non- Controlling Interest	Total Equity
Balances at January 1, 2025	907,857,870	(37,614,990)	121,632,762	-	948,829,194	(6,068,601)	(160,000)	248,064,613	2,182,540,848	96,388,595	2,278,929,443
Net Income for the period	-	-	-	-	-	-	-	86,370,870	86,370,870	-	86,370,870
Prior Year Adjustment	-	-	-	-	-	-	-	57,641,323	57,641,323	-	57,641,323
Acquisition of treasury shares	-	-	-	-	-	-	-	-	-	-	-
Translation adjustment	-	-	-	-	-	(3,469,038)	-	-	(3,469,038)	-	(3,469,038)
Non-controlling interest	-	-	-	-	-	-	-	-	-	-	-
Balances at September 30, 2025	907,857,870	(37,614,990)	121,632,762	-	948,829,194	(9,537,639)	(160,000)	392,076,806	2,323,084,003	96,388,595	2,419,472,598
Balances at January 1, 2024	907,857,870	(37,614,990)	121,632,762	-	1,033,172,477	(7,829,025)	(160,000)	52,269,904	2,069,328,998	18,114,777	2,087,443,775
Net Income for the period	-	-	-	-	-	-	-	300,759,028	300,759,028	2,338,416	303,097,443
Depreciation transfer of revaluation surplus	-	-	-	-	1,660,861	-	-	-	1,660,861	-	1,660,861
Acquisition of treasury shares	-	-	-	-	-	-	-	-	-	-	-
Translation adjustment	-	-	-	-	-	-	-	-	-	-	-
Non-controlling interest	-	-	-	-	-	-	-	28,119,678	28,119,678	10,444,952	38,564,630
Balances at September 30, 2024	907,857,870	(37,614,990)	121,632,762	-	1,034,833,338	(7,829,025)	(160,000)	381,148,610	2,399,868,565	30,898,145	2,430,766,709

See accompanying Notes to Financial Statements

Harbor Star Shipping Services, Inc. and its Subsidiaries

Consolidated Statements of Cash Flows – Unaudited
For the Nine Months Ended September 30, 2025 and 2024
(All amounts in Philippine Peso)

	Notes	Nine Months Ended September 30,	
		2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES			
Income (loss) before income tax		89,976,811	259,662,872
Adjustments for:			
Depreciation and amortization	17, 18	461,656,253	269,362,259
Interest expense		189,115,031	133,437,837
Bad debts		-	250,500
Retirement Benefit expense		-	264,600
Unrealized foreign exchange loss(gain) - net	18	-	(19,708)
Interest income		(610,912)	(276,668)
Operating income before working capital changes		740,137,182	662,681,692
Decrease (increase) in:			
Trade and other receivables	5	53,426,963	(98,845,122)
Prepayments and other current assets	6	(132,155,860)	(169,511,493)
Increase (decrease) in trade and other payables	13	171,711,220	112,080,248
Net cash generated from operations		833,119,506	506,405,325
Retirement obligation paid		-	(264,600)
Interest paid		(189,115,031)	(133,437,837)
Income taxes paid		(37,501,701)	(4,190,111)
Interest received		610,912	276,668
Net cash flows from (used in) operating activities		607,113,685	368,789,445
CASH FLOWS FROM INVESTING ACTIVITIES			
Acquisitions of:			
Property and equipment	8, 9	(439,614,251)	(203,052,593)
Intangible asset		(4,142,652)	(733,483)
Investment Property		-	(1,378,432)
Disposal of property and equipment			(11,223)
Decrease (increase) in:		-	-
Investment in an Associate		-	-
Advances to related parties	20	(31,851,743)	(7,361,139)
Other noncurrent assets	12	-	-
Net cash flows from (used in) investing activities		(475,608,646)	(212,536,870)
CASH FLOWS FROM FINANCING ACTIVITIES			
Payment of:			
Interest-bearing loans and borrowings	14	(182,394,296)	(95,468,472)
Lease liabilities	14	(4,935,543)	(3,128,237)
Increase (decrease) in advances from related parties	20	-	(3,838)
Net cash flows from (used in) financing activities		(187,329,839)	(98,600,547)
EFFECTS OF EXCHANGE RATE CHANGES IN CASH		-	1,707,287
NET INCREASE (DECREASE) IN CASH	4	(55,824,799)	59,359,315
CASH AT BEGINNING OF THE PERIOD	4	383,247,256	284,685,183
CASH AT END OF THE PERIOD	4	327,422,457	344,044,498

See accompanying Notes to Financial Statements

HARBOR STAR SHIPPING SERVICES, INC. AND ITS SUBSIDIARIES NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. Business Information

1.1 General Information

Harbor Star Shipping Services, Inc. (the "Parent Company") was incorporated in the Philippines and registered with the Securities and Exchange Commission ("SEC") on July 5, 1988, primarily to engage in harbor assistance (docking and undocking), ship salvage, towage/lighterage and specialized cargo handling operations and other marine services.

In July 2012, the Parent Company commenced activities for an initial public offering ("IPO") of its common shares in the Philippines. On October 29, 2012, the Parent Company submitted its Registration Statement to the Philippine SEC. On October 30, 2013, the Parent Company completed its listing in the Philippine Stock Exchange ("PSE") and became a public company. The Parent Company did not have any follow-on offering subsequent to its initial public offering.

As a public Company, the Parent Company is covered by Part I Section 2A(i) of the Securities Regulation Code (SRC) Rule 68, as amended on October 20, 2011 and also covered by additional requirements under SRC Rule 68, as amended, Part II.

As at September 30, 2025, the Parent Company has 116 shareholders, 114 of which holds at least 100 common shares. The Parent Company's major shareholders are its own directors holding 69.12% of its total issued shares and the remaining 30.88% of total issued shares as at September, 2025 and 2024 and are held by the public.

The Group's registered office, which is also its principal place of business, is located at 2224 A. Bonifacio Street corner Pres. Sergio Osmeña Highway, Bangkal, Makati City, 1233, Philippines.

1.2 Significant Developments

Acquisition of ASTRONERGY Development Gensan Inc. (ADGI), ASTRONERGY Development F1 Inc. (ADF1), and ASTRONERGY Development F2 Inc. (ADF2)

On October 6, 2017, the Parent Company's BOD resolved to acquire 60% shareholdings of ADGI, an entity engaged in power generation through renewable energy through HSEC, a new subsidiary. On the same date, which became the acquisition date, a total of 599,997 shares were acquired, representing 60% of the issued and outstanding shares of ADGI. As a result, ADGI became a subsidiary of HSEC effective October 6, 2017.

ADGI was registered with the Department of Energy (DOE), with Registration No. SESC 2014-12-096 on December 29, 2014, as a Renewable Energy (RE) Developer of Solar Energy Resources. Pursuant to Section 15 Chapter VI of Republic Act (RA) No. 9513, An Act Promoting the Development, Utilization and Commercialization of Renewable Energy Resources and For Other Purposes, ADGI, as RE Developer, is entitled to certain incentives including income tax holiday (ITH) for the first seven (7) years of its commercial operations, from 2019 to 2026.

ADGI has permits, licenses and entitlements to operate 25MW, expandable to 75MW, solar power plant in General Santos. ADGI has been issued a Certificate of Commerciality by the DOE and has an existing ERC-approved Power Purchase Agreement (PPA) with South Cotabato II Electric Cooperative, Inc. ("SOCOTECO II"). Under the PPA, SOCOTECO-II will purchase all the energy output from the project. On March 15, 2018, the Parent Company's BOD resolved to acquire the following shares of stocks through HSEC, its subsidiary:

- 40% additional shareholdings of ADGI
- 100% shareholdings of ASTRONERGY Development F1 Inc. (ADF1)
- 100% shareholdings of ASTRONERGY Development F2 Inc. (ADF2)

On April 12 and October 18, 2018, HSEC acquired the remaining 25% and 15% shareholdings of ADGI which represents 250,000 and 150,000 shares of stock, respectively for a total of P75,108,479. The acquisition resulted in the reversal of NCI and a charge to retained earnings amounting to P18,695,948 and P83,342,728, respectively. The acquisition of the remaining shares of stocks made ADGI a wholly-owned subsidiary of HSEC.

The total consideration given with respect to the acquisition of ADGI's 60% shares and 100% shares of ADF1 and ADF2 is P147,453,712. The is attributable to the continuing operations of the acquired businesses. It will not be deductible for tax purposes.

ADF1 and ADF2 have their own ancillary permits and contracts to support the expansion of the 25 MW ADGI solar power plant to 75MW.

On July 27, 2019, ADGI started the commercial operation of its solar power plant in Sitio Changco, Brgy. Bawing, General Santos City, South Cotabato with a capacity of 25MW.

Cash paid for the acquisitions

Cash paid for the acquisition of 60% of ADGI amounting to P20,559,425 is presented net of cash from acquired subsidiary of P50,000 for a net cash paid of P20,509,425 in the consolidated statement of cash flows for the year ended December 31, 2017. In 2018, the cash paid was subsequently adjusted by P20,161,428 due to adjustments in purchase price.

Cash paid for the acquisition of 100% of ADF1 and ADF2 amounting to P147,053,712 is presented net of cash from acquired subsidiaries in the consolidated statement of cash flows for the year ended December 31, 2018.

On May 29, 2019, ADGI has received the Certificate of Approval of Increase in Capital Stock from the SEC. The authorized capital stock was increased from P2,000,000 divided into 2,000,000 shares with a par value of P1 each to P600,000,000 divided into 600,000,000 shares with a par value of P1. Subsequently, HSEC, the parent company of ADGI subscribed to an additional 300,000,000 shares with a par value of P1 for a total of P300,000,000. HSEC has settled P92,000,000 from the subscribed amount through application of its advances of deposit for future subscription.

On December 3, 2019, Energy Regulatory Commission (ERC) granted the Certificate of Compliance (COC No. 19-12-M-00188M) to ADGI after having found to comply with all the requirements in the 2014 Revised COC Rules, the Philippine Grid Code, the Philippine Distribution Code, the Wholesale Electricity Spot Market (WESM) Rules and related laws, orders and regulations. The COC shall be valid for a period of five (5) years, from December 31, 2019 to December 2, 2024, and its application for renewal shall be filed at least six (6) months before its expiration date. As at report date, renewal of the application is ongoing.

In 2020, ADGI commenced commercial operations for the entire year. On January 26, 2021, SOCOTECO II and ADGI filed an Application on ERC Case No. 2013-2017 RC seeking the Commission's approval of their Renewable Energy Supply Agreement (RESA) for issuance of final authority and collection for the supply of power based on the RESA as at December 31, 2020. In 2020, ADGI has submitted to the ERC all documents to support their claims. As at reporting date, ADGI is waiting for final ruling from the ERC.

On December 23, 2022, the Department of Energy (DOE) declared the commercial operation of the Wholesale Electricity Spot Market (WESM) in the Mindanao Grid (DC2022-12-0039) mandating all Mindanao Electric Power Industry Participants and entities to become WESM members. On January 26, 2023, ADGI transferred its generation of solar power from SOCOTECO II to WESM.

Critical accounting estimate

Impairment of goodwill

The Group's goodwill is carried at cost and is reviewed annually for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. Changes in

those assessment and judgment could have a significant effect on the carrying value of goodwill and the amount and timing of recorded provision for any period. Goodwill is monitored by the Group's management following its acquisition of ADGI, ADF1 and ADF2.

As at December 31, 2022, management assessed that the goodwill may not be recoverable mainly due to adverse impact of higher interest to discount rate and volatility in electricity prices. As a result, the Group recognized an impairment loss on goodwill amounting to P154,207,159 in 2022.

As at December 31, 2022, the recoverable amount of ADGI's business was determined based on value in use calculation (using Level 3 inputs) using certain assumptions. The calculations made use of cash flow projections based on financial forecasts. The significant assumptions affecting the cash flow projections is limited to the pre-tax adjusted discount rate.

The cash flow forecasts reflect management's expectations of revenue growth, operating costs and margins based on past experience and outlook, consistent with internal measurements and monitoring.

Pre-tax adjusted discount rate applied to the cash flow forecasts is derived using the weighted average cost of capital as at December 31, 2022. The pretax discount rate used was 11% in 2022.

Harbor Star East Asia (Myanmar) Limited (HSEAM)

On April 20, 2018, the Parent Company subscribed to 97% or equivalent to 48,500 shares of the 50,000 authorized shares of HSEAM and paid 50% of the subscription amounting to P1,354,522 which gave the Parent Company 100% controlling interest over HSEAM.

HSEAM was incorporated on February 6, 2018 in The Republic of the Union of Myanmar in accordance with Myanmar Companies Act under Registration and Permit no. 1054FC/2017-2018 (YGN) as a Private Company. HSEAM is engaged in providing consultancy and support services, underwater, marine and maritime related business in Myanmar. The period of the validity of permit was from February 6, 2018 to February 5, 2023. The validity of permit was renewed and extended until March 6, 2026.

Hi-Energy Marine Services, Inc. (HEMSI)

On August 16, 2018, the Parent Company subscribed to 31% (218,464 shares) of the 705,924 authorized shares of Hi-Energy Marine Services, Inc. (HEMSI) and paid 100% of the subscription amounting to P85,368,971. As a result, HEMSI became an associate.

HEMSI was incorporated and registered with the SEC on February 13, 2012 primarily to engage in towage, mooring, maritime commerce and navigation.

Other business updates

On January 29, 2020, the Maritime Industry Authority (MARINA) issued its first endorsement that it has no objection to the amendment of the Second Article of the Articles of Incorporation of TUGS authorizing it to engage in operation of maritime schools/educational/training facilities. This is in line with the process of applying for an amendment on AOI with the SEC based on the BOD resolution issued last March 6, 2017. On July 7, 2020, the SEC approved the amendment of the AOI.

On September 8, 2020, the Parent Company has been accredited by the Philippine Contractors Accreditation Board (PCAB) for General Building and Engineering. The Parent Company is licensed to perform both private and public construction work which includes building, rehabilitating and repairing roads, piers, terminations and other infrastructure.

On March 17, 2021, the Parent Company has subscribed to 29,999,999 shares of Harbor Star Construction Corporation (HSCC) for a total amount of P29,999,997, which gave the Group 100% controlling interest over HSCC.

On April 23, 2021, the SEC approved the Certificate of Incorporation of HSCC. Its primary purpose is to engage in the business of general building construction and other allied business including the

constructing, developing, repairing, altering, enlarging, removing, restoring, designing, or otherwise engaging in any construction jobs of all description or works.

On June 6, 2023, the Parent Company has subscribed to 30% or equivalent to 16,500,000 of the 55,000,000 authorized shares of Kaibuok Star Shipyard Inc. (KSSI) for a total amount of P16,624,025. The total subscribed amount is presented as part of investment in associates (Note 5).

On July 24, 2023, the SEC approved the Certificate of Incorporation of KSSI, the primary purpose of which is to build, construct, fabricate, repair, own, manage, operate, maintain, buy, sell, or otherwise deal in and with ships, vessels, boats, and marine structures of every kind and nature, graving docks, drydocks, floating docks, various land, and other structures and other conveniences for building, repairing, or docking of ships and other vessels for building and repairing marine and other land structures.

1.3 Consolidation

As at September 30, 2025 and December 31, 2024, the consolidated financial statements include the Parent Company and its Subsidiaries, namely, Harbor Star Subic Corp., Peak Flag SDN BHD, Harbor Star Energy Corporation, Harbor Star East Asia (Myanmar) Limited, Harbor Star Construction Corp., ASTRONERGY Development Gensan Inc., ASTRONERGY Development F1 Inc., and ASTRONERGY Development F2 Inc. In both reporting periods, they are collectively referred to as the "Group".

The principal activities of the subsidiaries and associate are set out below:

	Relationship	% of interest held		Registered place of business/ Country of incorporation	Main activity
		2025	2024		
Harbor Star Subic Corp. (HSSC)	Subsidiary	100%	100%	Philippines	HSSC was incorporated on September 17, 2015, and registered in the Philippines primarily to engage in marine-related ancillary services such as harbor assistance, towage, lighterage, oil spill response and underwater marine services. Its registered address, which is also its principal place of business, is located at Units 9 and 10, Alava Quay, Waterfront Road, Subic Bay Freeport Zone, Subic, Zambales.
Harbor Star Energy Corporation (HSEC)	Subsidiary	100%	100%	Philippines	HSEC was incorporated on May 11, 2017, and registered in the Philippines primarily to engage in the production and sale of renewable energy. Its registered address is at 2224 A. Bonifacio St., cor. Pres. Osmeña Highway, Bangkal, Makati City, Metro Manila.
Peak Flag SDN BHD (Peak Flag)	Subsidiary	45%	45%	Malaysia	Peak Flag was incorporated and registered in Malaysia, primarily to carry on the business of providing tugboat harbor assist/ marine support services. Its registered address, which is also its principal place of business, is at Suite N-6-04, The Gamuda Biz Suites, No.12, Persiaran Anggerik Vanilla 31/99 Seksyen 31, Kota Kemuning 40460 Shah Alam, Selangor.

	Relationship	% of interest held		Registered place of business/ Country of incorporation	Main activity
		2025	2024		
ASTRONERGY Development Gensan Inc. (ADGI)	Subsidiary (Indirect)	100%	100%	Philippines	In 2018, HSEC completed full subscription to total share of ADGI, an entity engaged in power generation through renewable energy. ADGI has not started commercial operations as at June 30, 2019. Its registered address, which is also its principal place of business, is at Unit 202 Midway Court Building, EDSA Mandaluyong, Metro Manila.
ASTRONERGY Development F1 Inc. (ADF1)	Subsidiary (Indirect)	100%	100%	Philippines	During 2018, HSEC acquired 100% ownership of ASTRONERGY Development F1 Inc., an entity engaged in power generation through renewable energy. ADF1 has not started commercial operations as at June 30, 2019. Its registered address, which is also its principal place of business, is at 2224 A. Bonifacio St., cor. Pres. Osmeña Highway, Bangkal, Makati City, Metro Manila.
ASTRONERGY Development F2 Inc. (ADF2)	Subsidiary (Indirect)	100%	100%	Philippines	During 2018, HSEC acquired 100% ownership of ASTRONERGY Development F2 Inc., an entity engaged in power generation through renewable energy. ADF2 has not started commercial operations as at June 30, 2019. Its registered address, which is also its principal place of business, is at 2224 A. Bonifacio St., cor. Pres. Osmeña Highway, Bangkal, Makati City, Metro Manila.
Harbor Star East Asia (Myanmar) Limited (HSEAM)	Subsidiary	100%	100%	Myanmar	During 2018, HSSSI acquired 97% ownership of Harbor Star East Asia (Myanmar) Limited, an entity providing consultancy and support services including underwater, marine and maritime related business. Its registered address, which is also its principal place of business is at No. M6, Upper Padetharpin Road, FMI City, Hlaingtharyar Township, Yangon, Myanmar.

	Relationship	% of interest held		Registered place of business/ Country of incorporation	Main activity
		2025	2024		
Harbor Star Construction Corporation (HSCC)	Subsidiary	100%	100%	Philippines	HSCC was incorporated on April 23, 2021, and registered in the Philippines primarily to engage in the business of general building construction and other allied business including the constructing, developing, repairing, altering, enlarging, removing, restoring, designing, or otherwise engaging in any construction jobs of all description or works. Its registered address, which is also its principal place of business is located at 2224 A. Bonifacio St., cor. Pres. Osmeña Highway, Bangkal, Makati City, Metro Manila.
Hi-Energy Marine Services, Inc. (HEMSI)	Associate	31%	100%	Philippines	During 2018, HSSSI acquired 31% ownership of HEMSI, an entity engaged in towage, mooring, maritime commerce and navigation. Its registered address, which is also its principal place of business, is at Bldg. No. 1811 CUD 14 Studio Zen Taft Avenue St. Zone 03 Brgy. 36, Pasay City.
Great Eastern Tug Corporation (GETC)	Associate	20%	20%	Philippines	GETC was incorporated and registered with the Philippine SEC on September 9, 2002, primarily to own, charter in/out, operate and manage tugboats or domestic services. Its registered address, which is also its principal place of business, is located at 11F Marc 2000 Tower, 1973 Taft Avenue, Malate, Manila.

Critical accounting judgments

(a) Determining control over investments with ownership of less than half of the entity's total equity

The Parent Company follows the guidance of Philippine Financial Reporting Standards (PFRS) 10 "Consolidated Financial Statements" in determining if control exists for investments with ownership of less than half of its total equity. In making this judgment, the Parent Company considers the power over more than half of the voting rights by virtue of an agreement with other investors, power to govern the financial and operating policies of the entity under a statute or an agreement, power to appoint or remove the majority of the members of the Board of Directors (BOD), or power to cast the majority of votes at meetings of the BOD.

Having a significant influence based on the percentage ownership, the Parent Company initially considered Peak Flag as associate. However, effective January 1, 2014, the Parent Company has gained control over the key economic decisions and policies affecting Peak Flag under the duly signed amended shareholders' agreement including majority board representation. Consequently, based on management's judgment and continuous assessment of the Parent Company, Peak Flag is considered a subsidiary as at September 30, 2025 and December 31, 2024.

(b) Non-controlling interest

Set out below are the summarized financial information of Peak Flag, a subsidiary, that has non-controlling interest to the Group. The amounts disclosed are before intercompany eliminations.

	September 30, 2025	December 31, 2024
Total current assets	114,582,080	127,828,021
Total non-current assets	488,213,925	376,183,989
Total current liabilities	253,861,180	249,208,783
Total non-current liabilities	66,711,509	78,363,556
Equity	282,223,317	176,439,671
Total revenue	119,684,266	171,941,552
Total expense	(71,577,048)	(80,170,948)
Total income (loss) for the year	48,107,218	91,770,604
Total comprehensive income (loss) for the year	48,107,218	138,409,424
Net cash provided by operating activities	94,755,152	65,349,424
Net cash provided by (used in) financing activities	21,161,180	21,943,138

2. Basis of Preparation, Statement of Compliance and Summary of Significant Accounting Policies

Basis of Preparation

The consolidated financial statements of the Group have been prepared in accordance with Philippine Financial Reporting Standards (PFRS). The term PFRS, in general, includes all applicable PFRS, Philippine Accounting Standards (PAS), interpretations of the Philippine Interpretations Committee (PIC), Standing Interpretations Committee (SIC) and International Financial Reporting Interpretations Committee (IFRIC) which have been approved by the Financial Reporting Standards Council (FRSC) and adopted by the SEC.

These consolidated financial statements have been prepared under the historical cost convention, as modified by the revaluation of property and equipment - tugboats and fair value measurement of financial assets at fair value through other comprehensive income.

The preparation of consolidated financial statements in conformity with PFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group's accounting policies.

Changes in accounting policies and disclosures

a. New and amended standards and interpretations adopted by the Group

There are a number of new accounting standards, amendments and interpretations that have been published that are mandatory for September 30, 2025 reporting period.

Interest Rate Benchmark Reform Phase 2 - Amendments to PFRS 9 PAS 39, PFRS 7, PFRS 4 and PFRS 16 (Effective January 1, 2021)

In August 2020, the IASB made amendments to PFRS 9, PAS 39, PFRS 7, PFRS 4 and PFRS 16 to address the issues that arise during the reform of an interest rate benchmark rate, including the replacement of one benchmark with an alternative one.

The Phase 2 amendments provide the following reliefs:

- When changing the basis for determining contractual cash flows for financial assets and liabilities (including lease liabilities), the reliefs have the effect that the changes, that are necessary as a direct consequence of IBOR reform and which are considered economically equivalent, will not result in an immediate gain or loss in the income statement.

- The hedge accounting reliefs will allow most PAS 39 or PFRS 9 hedge relationships that are directly affected by IBOR reform to continue. However, additional ineffectiveness might need to be recorded.

Affected entities need to disclose information about the nature and extent of risks arising from IBOR reform to which the entity is exposed, how the entity manages those risks, and the entity's progress in completing the transition to alternative benchmark rates and how it is managing that transition. Given the pervasive nature of IBOR-based contracts, the reliefs could affect companies in all industries.

COVID-19-Related Rent Concessions - Amendments to PFRS 16 (Effective June 1, 2020)

As a result of the COVID-19 pandemic, rent concessions have been granted to lessees. Such concessions might take a variety of forms, including payment holidays and deferral of lease payments. In May 2020, the IASB made an amendment to PFRS 16 Leases which provides lessees with an option to treat qualifying rent concessions in the same way as they would if they were not lease modifications. In many cases, this will result in accounting for the concessions as variable lease payments in the period in which they are granted. The Group has no lease concessions as at September 30, 2025.

None of these standards, amendments and interpretations have a significant impact on the Group's financial statements.

b. New standards, amendments and interpretations not yet adopted by the Group

There are new PFRS, interpretation, amendments and annual improvements to existing standards effective for annual periods subsequent to 2020. Management will adopt the following relevant pronouncements in accordance with their transitional provisions. None of those standards are expected to have a significant impact on the consolidated financial statements of the Group, but the more relevant ones are set out:

Classification of Liabilities as Current or Non-current - Amendments to PAS 1 (Effective January 1, 2023)

The narrow-scope amendments to PAS 1 Presentation of Financial Statements clarify that liabilities are classified as either current or non-current, depending on the rights that exist at the end of the reporting period. Classification is unaffected by the expectations of the entity or events after the reporting date (e.g. the receipt of a waiver or a breach of covenant). The amendments also clarify what PAS 1 means when it refers to the 'settlement' of a liability.

The amendments could affect the classification of liabilities, particularly for entities that previously considered management's intentions to determine classification and for some liabilities that can be converted into equity.

They must be applied retrospectively in accordance with the normal requirements in PAS 8 Accounting Policies, Changes in Accounting Estimates and Errors.

Property, Plant and Equipment: Proceeds before intended use - Amendments to PAS 16 (Effective January 1, 2022)

The amendment to PAS 16 Property, Plant and Equipment (PP&E) prohibit an entity from deducting from the cost of an item of PP&E any proceeds received from selling items produced while the entity is preparing the asset for its intended use. It also clarifies that an entity is 'testing whether the asset is functioning properly' when it assesses the technical and physical performance of the asset. The financial performance of the asset is not relevant to this assessment.

Entities must disclose separately the amounts of proceeds and costs relating to items produced that are not an output of the entity's ordinary activities.

Reference to the Conceptual Framework - Amendments to PFRS 3 (Effective January 1, 2022)

Minor amendments were made to PFRS 3 Business Combinations to update the references to the Conceptual Framework for Financial Reporting and add an exception for the recognition of liabilities and contingent liabilities within the scope of PAS 37 Provisions, Contingent Liabilities and Contingent Assets and Interpretation 21 Levies. The amendments also confirm that contingent assets should not be recognized at the acquisition date.

Annual Improvements to PFRS Standards 2018 - 2020 (Effective January 1, 2022)

The following improvements were finalized in May 2020:

- PFRS 9 Financial Instruments - clarifies which fees should be included in the 10% test for derecognition of financial liabilities.
- PFRS 16 Leases - amendment of illustrative example 13 to remove the illustration of payments from the lessor relating to leasehold improvements, to remove any confusion about the treatment of lease incentives.
- PFRS 1 First-time Adoption of International Financial Reporting Standards - allows entities that have measured their assets and liabilities at carrying amounts recorded in their parent's books to also measure any cumulative translation differences using the amounts reported by the parent. This amendment will also apply to associates and joint ventures that have taken the same PFRS 1 exemption.

Disclosure of Accounting Policies - Amendments to PAS 1 and PFRS Practice Statement 2 (Effective January 1, 2023)

The IASB amended PAS 1 to require entities to disclose their material rather than their significant accounting policies. The amendments define what is 'material accounting policy information' and explain how to identify when accounting policy information is material. They further clarify that immaterial accounting policy information does not need to be disclosed. If it is disclosed, it should not obscure material accounting information.

To support this amendment, the IASB also amended PFRS Practice Statement 2, Making Materiality Judgements to provide guidance on how to apply the concept of materiality to accounting policy disclosures.

Definition of Accounting Estimates - Amendments to PAS 8 (Effective January 1, 2023)

The amendment to PAS 8 Accounting Policies, Changes in Accounting Estimates and Errors clarifies how companies should distinguish changes in accounting policies from changes in accounting estimates. The distinction is important, because changes in accounting estimates are applied prospectively to future transactions and other future events, but changes in accounting policies are generally applied retrospectively to past transactions and other past events as well as the current period.

Deferred Tax related to Assets and Liabilities arising from a Single Transaction - Amendments to PAS 12 (Effective January 1, 2023)

The amendments to PAS 12 Income Taxes require companies to recognize deferred tax on transactions that, on initial recognition, give rise to equal amounts of taxable and deductible temporary differences. They will typically apply to transactions such as leases of lessees and decommissioning obligations and will require the recognition of additional deferred tax assets and liabilities.

The amendment should be applied to transactions that occur on or after the beginning of the earliest comparative period presented. In addition, entities should recognize deferred tax assets (to the extent that it is probable that they can be utilized) and deferred tax liabilities at the beginning of the earliest comparative period for all deductible and taxable temporary differences associated with:

- right-of-use assets and lease liabilities, and
- decommissioning, restoration and similar liabilities, and the corresponding amounts recognized as part of the cost of the related assets.

The cumulative effect of recognizing these adjustments is recognized in retained earnings, or another component of equity, as appropriate. PAS 12 did not previously address how to account for the tax effects of on-balance sheet leases and similar transactions and various approaches were considered acceptable. Some entities may have already accounted for such transactions consistent with the new requirements. These entities will not be affected by the amendments.

None of these standards are expected to have a significant impact on the financial statements of the Group.

Consolidation

a. Business combination

The Group applies the purchase or acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. On an acquisition-by-acquisition basis, the Group recognizes any non-controlling interest in the acquiree either at fair value or at the non-controlling interest's proportionate share of the recognized amounts of acquiree's identifiable net assets.

Acquisition-related costs are expensed as incurred.

If the business combination is achieved in stages, the acquisition date carrying value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date through profit or loss.

Any contingent consideration to be transferred by the Group is recognized at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration that is deemed to be an asset or liability is recognized in accordance with PFRS 9 either in profit or loss or as a change to other comprehensive income. Contingent consideration that is classified as equity is not re-measured, and its subsequent settlement is not accounted for within equity.

The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired is recorded as goodwill. If the total of consideration transferred, non-controlling interest recognized and previously held interest measured is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognized directly in profit or loss.

b. Subsidiaries

Subsidiaries are all entities over which the Group has control. The Group controls an entity when the Group is exposed to, or has a right to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The subsidiary is fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date the control ceases.

Intercompany transactions, balances and unrealized gain on transactions between Parent Company and its subsidiaries are eliminated.

When the Group ceases to have control, any retained interest in the subsidiary is re-measured to its fair value at the date when control is lost, with the change in carrying amount generally recognized

in profit or loss. The fair value is the initial carrying amount for purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognized in other comprehensive income in respect of that subsidiary are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognized in other comprehensive income are reclassified to profit or loss.

If the Group surrenders control to a related party within the Group it ultimately belongs, the difference between the consideration received and the fair value of the subsidiary at divestment date, is recognized within equity.

c. Associate

An associate is an entity over which the Group can exert significant influence, but which is neither a subsidiary nor a joint venture. Investment in associate is initially recognized at cost and subsequently accounted for using the equity method.

Under the equity method, the carrying amount of the investment in associate is increased or decreased to recognize the Group's share of the net earnings (losses) and other comprehensive income of the associates after the date of acquisition. The Group's share in the net earnings (losses) and other comprehensive income of the associates is recognized in the Group's profit or loss. Items that have been directly recognized in the associates' equity are recognized in equity of the Group. Distributions received from the associates reduce the carrying amount of the investment.

If the Group's share in net losses of associates equals or exceeds its interest in the associates, the Group will discontinue recognizing its share of further losses. The interest in an associate is the carrying amount of the investment in the associate under the equity method together with any long-term interests that, in substance, form part of the Group's net investment in the associate.

After the Group's interest is reduced to zero, additional losses are provided for, and a liability is recognized, only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate. If the associate subsequently reports profits, the Group resumes recognizing its share of those net earnings only after its share of the earnings equals the share of losses not recognized.

The Group determines at each reporting date whether there is any objective evidence that the investment in the associate is impaired. If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value and recognizes the amount adjacent to 'share of profit (loss) of an associate' in profit or loss.

Investment in associate is derecognized when the risk and rewards of ownership have been transferred or extinguished. When the investment in associate is derecognized, its cost and related impairment, if any, are eliminated from the accounts.

Goodwill

Goodwill is initially measured as the excess of the aggregate of the consideration transferred (including the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree) over the fair value of the Group's share of the identifiable net assets acquired. If this consideration is lower than the fair value of the net assets of the subsidiary acquired, in the case of a bargain purchase, the difference is recognized directly in profit or loss.

For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the cash-generating units (CGUs), or groups of CGUs, that is expected to benefit from the synergies of the combination. Each unit or group of units to which the goodwill is allocated represents the lowest level within the Group at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level.

Goodwill impairment reviews are undertaken annually or more frequently if events or changes in circumstances indicate a potential impairment. The carrying value of the CGU containing the

goodwill is compared to the recoverable amount, which is the higher of value in use and the fair value less costs of disposal. Any impairment is recognized immediately as an expense and is not subsequently reversed.

Cash and cash equivalents

Cash and cash equivalents consist of cash on hand, deposits held at call with banks and other short-term, highly liquid investments with original maturities of three months or less from date of acquisition. Deposits held at call with banks earn interest at the prevailing bank interest rate. These are carried at amortized cost.

Investments and other financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity of another entity. The Group recognizes a financial instrument in the consolidated statements of financial position, when and only when, the Group becomes a party to the contractual provisions of the instrument.

Financial assets

a. Classification

The Group classifies its financial assets in the following categories:

- those to be measured subsequently at fair value (either through other comprehensive income (OCI) or through profit or loss), and
- those to be measured at amortized cost

The classification depends on the entity's business model for managing the financial assets and the contractual terms of the cash flows. The Group only holds financial assets classified as financial assets at amortized cost as at September 30, 2025 and December 31, 2024 which comprise cash and cash equivalents, trade and other receivables, deposit bond, advances to related parties, refundable deposits and financial assets at fair value through other comprehensive income in the consolidated statements of financial position.

b. Recognition and derecognition

Regular way purchases and sales of financial assets are recognized on trade-date, the date on which the Group commits to purchase or sell the asset. Financial assets are derecognized when the rights to receive cash flows from the financial assets have expired or have been transferred and the Group has transferred substantially all the risks and rewards of ownership.

c. Measurement

At initial recognition, the Group measures a financial asset at its fair value.

Subsequent to initial recognition, measurement depends on the Group's business model for managing the asset and cash flow characteristic of the asset. For financial assets at amortized cost, interest income, if any, from these financial assets is included within other income in the statement of total comprehensive income using the effective interest rate method. Impairment losses are presented as separate line item in profit or loss.

Where the Group's management has elected to present fair value gains and losses on investments in OCI, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investment. Dividends from such investments continue to be recognized in profit or loss when the Group's right to receive payments is established.

d. Impairment

The Group assesses on a forward-looking basis the expected credit losses associated with its debt

instruments carried at amortized cost and FVOCI. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

Impairment loss is recognized in profit or loss and the carrying amount of the asset is reduced through by an allowance. The Group applies the ECL model to measure the impairment for all financial assets at FVOCI and at amortized costs.

The Group calculates the allowance for credit losses by considering on a discounted basis the cash shortfalls it would incur in various default scenarios for prescribed future periods and multiplying the shortfalls by the probability of each scenario occurring. ECL are measured through an allowance at an amount equal to:

- the 12-month ECL (that result from those default events on the financial instrument that are possible within 12 months after the reporting date); or
- full lifetime ECL (that result from all possible default events over the life of the financial instrument).

Financial liabilities

a. Classification

The Group classifies its financial liabilities in the following categories: financial liabilities at fair value through profit or loss (including financial liabilities held for trading and those that designated at fair value); and other financial liabilities. As at September 30, 2025 and December 31, 2024, the Group's financial liabilities are limited to other financial liabilities at amortized cost.

The Group's trade and other payables (excluding payable to government agencies, unliquidated expenses, and unearned income), advances from related parties, short-term loans and borrowings, finance lease liabilities and lease liabilities are classified under other financial liabilities at amortized cost.

Issued financial instruments or their components, which are not designated at fair value through profit or loss, are classified as other financial liabilities, where the substance of the contractual arrangement results in the Group having an obligation either to deliver cash or another financial asset to the holder. Other financial liabilities include accrued expenses. These are included in current liabilities except for maturities greater than 12 months after the reporting period which are classified as non-current liabilities.

b. Initial recognition and derecognition

Financial liabilities are initially recognized at fair value of the consideration received plus directly attributable transaction costs. A financial liability is derecognized when the obligation under the liability is discharged or cancelled or has expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in profit or loss.

c. Subsequent measurement

Other financial liabilities are subsequently measured at amortized cost using the effective interest rate method. Amortized cost is calculated by considering any discount or premium on the issue and fees that are an integral part of the effective interest rate.

Offsetting of financial instruments

Financial assets and liabilities are offset and the net amount reported in the consolidated statement of financial position when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the asset and settle the liability simultaneously.

The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Group or the counterparty.

The Parent Company has right to offset intercompany payables and receivables as at September 30, 2025. Total intercompany receivables offset against payables amounts to P1,836,403,921.

Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The Group classifies its fair value measurements using a fair value hierarchy that reflects the significance of the inputs used in making the measurements. The fair value hierarchy has the following levels:

- quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1);
- inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices) (Level 2); and
- inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs) (Level 3).

The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in Level 1.

The fair value of assets and liabilities that are not traded in an active market is determined by using valuation techniques. These valuation techniques maximize the use of observable market data where it is available and rely as little as possible on entity specific estimates. If all significant inputs required to fair value an instrument are observable, the asset or liability is included in Level 2.

If one or more of the significant inputs is not based on observable market data, the asset or liability is included in Level 3.

Specific valuation techniques used to value financial instruments include:

- Quoted market prices or dealer quotes for similar instruments.
- Other techniques, such as discounted cash flow analysis, are used to determine fair value for the remaining financial instruments.

The Group's financial asset at FVOCI with quoted market price is valued using Level 1 of the fair value hierarchy.

The Group has no other significant financial assets and liabilities carried at fair value.

The carrying amount of significant financial assets and liabilities, except borrowings approximates their fair value as the impact of discounting is not considered significant considering that the remaining significant financial assets and liabilities generally have short term maturity.

For non-financial assets, the Group uses valuation techniques that are appropriate in the circumstances and applies the technique consistently. Commonly used valuation techniques are as follows:

- Market approach - A valuation technique that uses prices and other relevant information generated by market transactions involving identical or comparable (i.e., similar) assets,

liabilities or a group of assets and liabilities, such as a business.

- Income approach - Valuation techniques that convert future amounts (e.g., cash flows or income and expenses) to a single current (i.e., discounted) amount. The fair value measurement is determined based on the value indicated by current market expectations about those future amounts.
- Cost approach - A valuation technique that reflects the amount that would be required currently to replace the service capacity of an asset (often referred to as current replacement cost).

The Group's tugboats are valued using Level 2 of the fair value hierarchy. The fair value of tugboats was determined using cost approach where valuation performed are based on cost of reproduction of new vessel, accumulated depreciation, character, and utility of the vessel (Note 8).

The Group determines the fair value of its investment properties, which is carried at cost (Note 11), using Level 2 of the fair value hierarchy by direct comparison approach with reference to open market of similar properties with consideration of the location, property size, physical features, and economic factors.

The Group has no other significant non-financial assets and liabilities carried at fair value.

Trade and other receivables

Trade receivables are amounts due from customers for services performed in the ordinary course of business. If collection is expected in one year or less, these are classified as current assets. If not, these are presented as non-current assets.

Trade and other receivables are recognized initially at fair value and subsequently measured at amortized cost using effective interest method, less provision for impairment.

The carrying amount of the receivable is reduced by an allowance account, and the amount of loss is recognized within general and administrative expenses in profit or loss. When a receivable remains uncollectible after the Group has exerted all legal remedies, it is written off against the allowance account for receivables. If in a subsequent period, the amount of impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognized (such as an improvement in the debtor's credit rating), the reversal of the previously recognized impairment loss is recognized in profit or loss. Reversal of previously recorded impairment provision are based on the result of management's update assessment, considering the available facts and changes in circumstances, including but not limited to results of recent discussions and arrangements entered with customers as to the recoverability of receivables at the end of the reporting period. Subsequent recoveries of the amounts previously written off are credited to general and administrative expenses in profit or loss.

Prepayment and other assets

Prepayments are recognized in the consolidated statement of financial position if payment has been made in advance of obtaining right of access to goods or receipt of services and measured at nominal amounts.

Other assets consist substantially of input value-added taxes (VAT) and leasehold rights.

Input VAT are recognized as assets in the period such input VAT become available as tax credits to the Group and carried over to the extent that it is probable that the benefit will flow to the Group.

A provision for unrecoverable input VAT is established when there is objective evidence that the Group will not be able to recover the claims. The carrying amount of the asset is reduced by an allowance account and the amount of the loss is recognized in profit or loss within general and administrative expenses.

Leasehold rights are recognized at cost which approximates purchase price or total consideration. Leasehold rights with definite life are amortized over the period of the contract while leasehold rights that have indefinite life, are carried at cost less impairment, if any.

Prepayments and other assets are included in current assets, except when the related goods or services are expected to be received or rendered more than twelve months after the reporting period which are classified as non-current assets.

Prepayments are derecognized in the consolidated statement of financial position upon receipt of goods or services, through amortization over a certain period and use or consumption.

Input VAT are derecognized when applied against output or when written off.

Property, plant and equipment

All property, plant and equipment are carried at cost less accumulated depreciation and any impairment except for tugboats which are carried at revalued amounts.

Tugboats are initially recognized at cost. Subsequently, tugboats are carried at revalued amounts, which is the fair value at date of revaluation less any subsequent accumulated depreciation and accumulated impairment losses. The Group engages external, independent and qualified valuers to determine the fair value of the Group's tugboats once every 3-5 years. The increase of the carrying amount of an asset as a result of a revaluation is credited directly to equity (under the heading 'revaluation surplus'), unless it reverses a revaluation decrease previously recognized as an expense, in which case it is credited in profit or loss. A revaluation decrease is charged directly against any related revaluation surplus, with any excess being recognized as an expense in profit or loss.

Each year, the Group transfers from revaluation surplus reserve to retained earnings the difference between the depreciation charges calculated based on the revalued amount and the depreciation charge based on the assets' historical cost.

The profit or loss on disposal of a revalued asset is determined as the difference between the net disposal proceeds and the carrying amount of the asset. On disposal of the revalued asset, the relevant revaluation surplus included in equity is transferred directly to retained earnings.

All other property, plant and equipment is stated at historical cost less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are charged to profit or loss during the financial period in which these are incurred.

Dry docking cost represents major inspection and overhaul costs and is depreciated to reflect consumption benefits which is to be replaced or restored by the subsequent dry docking generally every two (2) years. The Group has included these dry-docking expenses as part of tugboat component. Land is not depreciated.

Depreciation on other assets is calculated using the straight-line method to allocate their costs or revalued amounts to their residual values over their estimated useful lives (in years), as follows:

Tugboats	8 to 26
Barges	10 to 37
Building and building improvements	10
Transportation equipment	5
Construction equipment	5
Diving and oil spill equipment	3 to 5
Furniture, fixtures, and leasehold improvements	3 to 4

Construction in-progress is stated at cost. This includes cost of construction and other direct costs. Construction in-progress is not depreciated until such time as the relevant assets are completed and are available for use. Tugboats under construction is classified as "Property, plant and equipment at cost" and subsequently transferred to "Property and equipment at revalued amounts" upon completion. Leasehold improvements are amortized over the estimated useful life of the improvements, which is shorter than the lease term, considering the renewal option.

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

An item of property, plant and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal at which time the cost, appraisal increase and their related accumulated depreciation are removed from the consolidated statement of financial position. Any gains and losses on disposals of an asset as cost are determined by comparing proceeds with carrying amount and are recognized in profit or loss.

Computer software

Acquired computer software licenses are capitalized based on costs incurred to acquire and bring to use the specific software. These costs will be amortized over its estimated useful lives of five (5) years from the start of its use. Costs associated with maintaining computer software programs are recognized as an expense as incurred.

Computer software is derecognized upon disposal or when no future economic benefits are expected from its use or disposal at which time the cost and the related accumulated amortization are removed from the consolidated statement of financial position. Any gains and losses on disposals are determined by comparing the proceeds with the carrying amount of the assets and are recognized in profit or loss.

Investment property

Investment property is recognized as an asset, when it is probable that the future economic benefits that are associated with the investment property will flow to the Group and the cost of the asset can be measured reliably.

Investment properties consist of land in various locations. Land is initially recognized at cost and subsequently carried at cost less any impairment losses. Land is not depreciated.

Transfers are made to investment property when, and only when, there is a change in use, evidenced by ending of owner-occupation and commencement of an operating lease to another party. Transfers are made from investment property when, and only when, there is a change in use, evidenced by commencement of owner-occupation or commencement of development with a view to sell.

For a transfer from investment property to owner-occupied property or inventories, the deemed cost of property for subsequent accounting is its carrying amount at the date of change in use. If the property occupied by the Group as an owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under property, plant, and equipment up to the date of change in use.

Investment property is derecognized when it has either been disposed of or when the investment property is permanently withdrawn from use and no future benefit is expected from its disposal. Gains or loss on derecognition of an investment property is calculated as the difference between any disposal proceeds and the carrying amount of the related asset and is recognized in profit or loss in the year of derecognition.

Impairment of non-financial assets

Non-financial assets that have an indefinite useful life, such as land, are not subject to amortization and are tested annually for impairment. Other non-financial assets, mainly property, plant and equipment, computer software, investment properties, input VAT, investment in associate and leasehold rights, are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less cost to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Impairment losses, if any, are recognized in profit or loss as part of general and administrative expenses.

When impairment loss subsequently reverses, the carrying amount of the asset or cash-generating unit is increased to the revised estimate of its recoverable amount, but the increased carrying amount should not exceed the carrying amount that would have been determined had no impairment loss been recognized for the asset or cash-generating unit in prior years. Reversals of an impairment loss are credited to the provision account in profit or loss.

Trade and other payables

Trade and other payables are recognized in the period in which the related money, goods or services are received or when a legally enforceable claim against the Group is established or when the corresponding assets or expenses are recognized. These are classified as current liabilities if payment is due within one year or less. If not, these are presented as non-current liabilities.

Trade and other payables are recognized initially at fair value and subsequently measured at amortized cost using effective interest method.

These are derecognized when extinguished or when the obligation is discharged, cancelled, or has expired.

Borrowings and borrowing cost

a. Borrowings

Borrowings are measured initially at fair value, net of transaction costs incurred. Borrowings are subsequently measured at amortized cost. Any difference between the proceeds (net of transaction costs) and the redemption value is recognized in profit or loss over the period of the borrowings using the effective interest method.

Fees paid on the establishment of loan facilities are recognized as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the draw-down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalized as a pre-payment for liquidity services and amortized over the period of the facility to which it relates.

Borrowings are classified as current liabilities unless the Group has unconditional right to defer settlement of the liability for at least twelve months after the reporting date.

Borrowings are derecognized when the obligation is settled, paid, or discharged.

A substantial modification of the terms of an existing financial liability or a part of it shall be accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. Where the terms of a financial liability are modified, a gain or loss is recognized in profit or loss, which is measured as the difference between the carrying amount of the financial liability and the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate. If the modification of the terms of borrowings is accounted for as an extinguishment, any costs or fees incurred are recognized as

part of the gain or loss on extinguishment. If the modification of the terms of borrowings is not accounted for as an extinguishment, any cost or fees incurred adjust the carrying amount of the liability and are amortized over the remaining term of the modified liability.

Where the terms of the borrowings are renegotiated, a gain or loss is recognized in the profit or loss, which is measured as the difference between the carrying amount of the financial liability and the

b. Borrowing costs

Borrowing costs incurred for the construction of any qualifying asset, if any, are capitalized during the period that is required to complete and prepare the asset for its intended use.

All other borrowing costs are recognized in profit or loss in the period in which these are incurred.

Provisions

Provisions are recognized when the Group has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation, and the amount has been reliably estimated. Provisions are not recognized for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognized even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to passage of time is recognized as interest expense.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of resources embodying economic benefits will be required to settle the obligation, the provision is reversed and derecognized from the consolidated statement of financial position.

Current and deferred income tax

The tax expense for the year comprises deferred tax. Tax is recognized in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or directly in equity. In this case, the tax is also recognized in other comprehensive income or directly in equity, respectively.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the reporting date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax (DIT) is recognized on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated financial statements. However, DIT is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction effects neither accounting nor taxable profit or loss. DIT is determined using tax rates (and laws) that have been enacted or substantively enacted by the reporting date and are expected to apply when the related DIT asset is realized or the DIT liability is settled.

DIT assets are recognized for all deductible temporary differences to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilized.

DIT liabilities are recognized in full for all taxable temporary differences, except to the extent that the DIT liability arises from the initial recognition of goodwill. DIT liabilities are provided on taxable temporary differences arising from investments in subsidiaries and associates, except for DIT

liability where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future. Generally, the Group is unable to control the reversal of the temporary difference for associates. Only where there is an agreement in place that gives the Group the ability to control the reversal of the temporary difference not recognized.

DIT assets are recognized on deductible temporary differences arising from investments in subsidiaries and associates only to the extent that it is probable that the temporary difference will reverse in the future and there is sufficient taxable profit available against which the temporary difference can be utilized.

Specifically, DIT is provided on the temporary difference between the carrying amount of the revalued property, plant and equipment and its tax base. Any taxable temporary difference reflects the tax consequences that would follow from the recovery of the carrying amount of the asset through sale (non-depreciable assets) and through use (depreciable assets), using the tax rate applicable to the taxable amount derived from the sale of a non-depreciable capital or ordinary asset or the tax rate applicable during the years the asset is utilized.

DIT assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the DIT assets and liabilities relate to income taxes levied by the same taxation authority on either the taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

The Group re-assesses at each reporting date the need to recognize a previously unrecognized DIT asset, if any.

DIT assets and liabilities are derecognized when the related temporary differences are realized or settled.

Employee benefits

The Group provides short-term, retirement and terminal benefits to its employees. The Group did not grant any stock options or share-based payments to its officers and employees.

a. Other short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

b. Retirement benefit obligations

Defined benefit plans are defined as an amount of retirement benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

The liability recognized in respect of defined benefit retirement plans is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets, if any. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of government bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related retirement obligation.

Remeasurement gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to equity in unrestricted earnings in the period in which these arise.

Past service costs are recognized immediately in profit or loss.

The net interest cost is calculated by applying the discount rate to the net balance of the defined benefit obligation and the fair value of plan assets. This cost is included in personnel cost (Note 18) in profit or loss.

c. Termination benefits

Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognizes termination benefits at the earlier of the following dates: (a) when the Group can no longer withdraw the offer of those benefits; and (b) when the entity recognizes costs for a restructuring that is within the scope of PAS 37 and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the end of the reporting period are discounted to their present value.

Share capital

Common shares, recognized at par value, are classified as equity.

Incremental costs directly attributable to the issue of new shares or options are shown in equity as a deduction from the proceeds, net of tax.

When the shares are issued at a premium, the difference between the proceeds and the par value is credited to the "Additional paid-in capital" account. When the shares are issued for a consideration other than cash, the proceeds are measured by the fair value of the consideration received. In case the shares are issued to extinguish or settle the liability of the Group, the shares shall be measured either at fair value of the share issued or fair value of the liability settled, whichever is more reliably determinable.

Where any member of the Group purchases the Group's equity share capital (treasury shares), the consideration paid, including any directly attributable incremental costs (net of income taxes) is deducted from equity attributable to the Group's equity holders until the shares are cancelled, reissued or disposed of. Where such shares are subsequently sold or reissued, any consideration received, net of any directly attributable incremental transaction costs and the related income tax effects, is included in equity attributable to the Group's equity holders.

Retained earnings

Retained earnings represent the accumulated profit or loss arising from the operations of the Group and reserves for remeasurement on retirement benefit obligation less any dividends declared by the Parent Company.

Appropriation of retained earnings is recognized based on the provisions of the Corporation Code of the Philippines and by approval of the Parent Company's BOD. The Parent Company's BOD releases retained earnings from the appropriation when the purpose of such appropriation has been completed.

Dividend distribution

Dividend distribution to the Parent Company's shareholders is recognized as a liability in the consolidated financial statements in the period in which the dividends are approved by the Parent Company's BOD.

Foreign currency transactions and translation

a. Functional and presentation currency

Items included in the consolidated financial statements of the Group are measured using the currency of the primary economic environment in which the entity operates (the 'functional

currency'). The consolidated financial statements are presented in Philippine Peso, which is the Parent Company's functional and presentation currency.

b. Transactions and balances

Foreign currency transactions are translated into Philippine Peso using the exchange rates prevailing at the dates of the transactions or valuation where items are remeasured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized in profit or loss. All foreign exchange gains and losses except for foreign exchange loss on borrowings are presented in profit or loss within other income (expense), net. Foreign exchange gains and losses from borrowings are presented as part of finance cost in profit or loss.

c. Subsidiary

The results and financial position of the subsidiary, (which has no currency of a hyperinflationary economy), that has a functional currency different from the presentation currency are translated into the presentation currency as follows:

- i. Assets and liabilities for each statement of financial position presented are translated at the closing rate at the reporting date;
- ii. Income and expenses for each statement of income are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions); and
- iii. All resulting exchange differences are recognized as cumulative translation differences as a separate line item under equity.

Revenue recognition

Revenue is measured based on the consideration specified in a contract with customer. The Group recognizes revenue when it transfers control over service to a customer.

a. Sale of services

The Group provides (i) harbor assistance, (ii) lighterage services (iii) towing services and (iv) salvage income. These services are provided on a time-basis or as a fixed-price contract, net of any subsequent discounts. Discounts are considered as part of the transaction price when granting such is highly probable. Contract terms of services are generally range from less than a year. Revenue from providing services is recognized in the accounting period in which the services are rendered. For fixed-price contracts, revenue is recognized based on the actual service provided to the end of the reporting period as a proportion of the total services to be provided because the customer receives and uses the benefits simultaneously.

b. Revenue on generation and sale of solar energy

The Group is engaged in the generation and sale of solar energy. Revenue is recognized monthly based on the transmission of solar energy to its sole customer. Revenue is recognized when the solar energy is delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due. Revenue is also recognized based on the price agreed with the costumer and is only recognized to the extent that it is probably that a significant reversal will not occur. No element of financing is deemed present as the sale are made with a credit of ten (10) to 15 days.

c. Revenue/Income on construction contracts

combination of assets that are closely interrelated or interdependent in terms of their design and function or their ultimate purpose or use.

When the outcome of a construction contract can be estimated reliably and it is probable that the contract will be profitable, contract revenue is recognized over the period of the contract by reference to the stage of completion. Contract costs are recognized as expenses by reference to the stage of completion of the contract activity at the end of the accounting period.

When the outcome of a construction contract cannot be estimated reliably, contract revenue is recognized only to the extent of contract costs incurred that are likely to be recoverable.

Variations in contract work, claims and incentive payments are included in contract revenue to the extent that may have been agreed with the customer and are capable of being reliably measured.

The Group uses the 'percentage of completion method' to determine the appropriate amount to recognize in each period. The stage of completion is measured by reference to the contract costs incurred up to the end of the reporting period as a percentage of total estimated costs for each contract. Costs incurred in the year in connection with future activity on a contract are excluded from contract costs in determining the stage of completion. These are presented as inventories, prepayments, or other assets, depending on their nature.

When it is probable that total contract costs will exceed total contract revenue, the expected loss is recognized immediately in profit or loss as part of cost of construction contracts, with a corresponding credit to allowance. The amount of such loss is determined irrespective of whether or not work has commenced on the contract, the stage of completion of contract activity, or the amount of profits expected to arise on other contracts, which are not treated as a single construction contract.

Changes in contract performance, contract conditions and estimated profitability, including those arising from contract penalty provisions and final contract settlements which may result in revisions to estimated costs and gross margins will be recognized in the year in which the changes are determined.

Progress payments received under the construction contracts are deducted from contract assets as the contract is completed. Progress payments received before corresponding work has been performed (or in excess of percentage of completion) are presented as advances from customers under trade and other payable in the consolidated statement of financial position.

The Group recognizes on a net and gross basis when it satisfies its promise to facilitate the service over a period when it is not a principal in a contract and acting as the principal in a contract, respectively. The Group is not the principal for construction contracts, wherein the Group does not control the service before it is transferred to a customer and the Group is also is not solely responsible for the service and discretion in establishing contract prices.

d. Financing components

The Group does not expect to have any contracts where the period between the transfer of the promised goods or services to the customer and payment by the customer exceeds one year. As a consequence, the Group does not adjust any of the transaction prices for the time value of money.

e. Contract assets and liabilities

Services are normally billed to the customer one month in advance. The customer pays the fixed amount based on the billing. If the performance obligations fulfilled by the Group exceed the total payments received to date, a contract asset is recognized. If the total payments received to date exceed the performance obligation fulfilled, a contract liability is recognized and is presented as unearned revenue. The contract assets are transferred to receivables when the Group's rights to the contract consideration become unconditional. A right to consideration is unconditional if only the passage of time is required before payment of that consideration is due.

Other income

a. Interest income

Interest income is recognized in profit or loss on a time-proportion basis using the effective interest method. Interest income from cash in banks and short-term placements is presented net of final taxes paid and withheld.

b. Dividend income

Dividend income is recognized in profit or loss when the right to receive payment is established.

Costs and expenses

Costs and expenses are recognized:

- i Based on a direct association between the costs incurred and the earning of specific items of income;
- ii on the basis of systematic and rational allocation procedures (i.e. when economic benefits are expected to arise over several accounting periods and the association with income can only be broadly or indirectly determined); or
- iii immediately and as incurred (i.e. when an expenditure produces no future economic benefits or when, and to the extent that future economic benefits do not qualify, or cease to qualify, for recognition in the consolidated statement of financial position).

Costs and expenses are presented in the profit or loss according to their function.

Leases where Group is a lessee

Assets and liabilities arising from a lease are initially measured on a present value basis. The interest expense is recognized in the profit or loss over the lease period to produce a constant periodic rate of interest on the remaining balance of the liability for each period. The right-of-use asset is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

a. Measurement of lease liabilities

Lease liabilities include the net present value of the following lease payments:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable
- variable lease payment that are based on an index or a rate
- amounts expected to be payable by the lessee under residual value guarantees
- the exercise price of a purchase option if the lessee is reasonably certain to exercise that option
- payments of penalties for terminating the lease, if the lease term reflects the lessee exercising that option

Lease payments to be made under reasonably certain extension options are also included in the measurement of the liability.

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be readily determined, which is generally the case for the Group's leases, the lessee's incremental borrowing rate is used, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security, and conditions.

To determine the incremental borrowing rate, the Group:

- where possible, uses recent third-party financing received by the individual lessee as a starting point, adjusted to reflect changes in financing conditions since third party financing was received,

- uses a build-up approach that starts with a risk-free interest rate adjusted for credit risk for leases held for entities which do not have recent third-party financing, and
- adjusts specific to the lease (i.e., term, currency and security).

Lease payments are allocated between principal and interest expense. The interest expense is charged to profit or loss over the lease period to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

b. Measurement of right-of-use assets

Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability,
- any lease payments made at or before the commencement date less any lease incentives received,
- any initial direct costs, and
- restoration costs.

Right-of-use assets are generally depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. If the Group is reasonably certain to exercise a purchase option, the right-of-use assets are depreciated over the underlying asset's useful life.

c. Extension and termination options

In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated). The lease term is reassessed if an option is exercised (or not exercised) or the Group becomes obliged to exercise (or not exercise) it. The assessment of reasonable certainty is revised only if a significant event or a significant change in circumstances occurs, which affects this assessment, and that is within the control of the lessee.

d. Short-term leases and leases of low-value assets

Payments associated with short-term leases and leases of low-value assets are recognized on a straight-line basis as an expense in the profit or loss. Short-term leases are leases with a lease term of 12 months or less. Low-value assets comprise IT-equipment and small items of office furniture.

Earnings per share

a. Basic

Basic earnings per share is calculated by dividing the profit attributable to shareholders of the Parent Company by the weighted average number of common shares in issue during the year, excluding common shares purchased by the Parent Company and held as treasury shares. In a capitalization or bonus issue or a share split, common shares are issued to existing shareholders for no additional consideration. Therefore, the number of common shares outstanding is increased without an increase in resources. The number of common shares outstanding before the event is adjusted for the proportionate change in the number of common shares outstanding as if the event had occurred at the beginning of the earliest period presented.

b. Diluted

Diluted earnings per share is calculated by adjusting the weighted average number of common shares outstanding to assume conversion of all dilutive potential common shares. The Parent Company has two possible categories of dilutive potential common shares: convertible debt and share options. The Parent Company has no convertible debt nor share options as at September 30, 2025 and December 31, 2024.

Related party relationships and transactions

Related party relationship exists when one party has the ability to control, directly, or indirectly through one or more intermediaries, the other party or exercise significant influence over the other party in making financial and operating decisions. Such relationship also exists between and/or among entities which are under common control with the reporting enterprise, or between and/or among the reporting enterprise and its key management personnel, directors, or its shareholders. In considering each possible related party relationship, attention is directed to the substance of the relationship, and not merely the legal form.

3. Significant Accounting Judgments, Estimates and Assumptions

In preparing the Group's consolidated financial statements, management has made its best estimates and judgments of certain amounts, giving due consideration to materiality. The estimates and assumptions used in the accompanying consolidated financial statements are based upon management's evaluation of the relevant facts and circumstances as at the date of the consolidated financial statements. The resulting accounting estimates will, by definition, seldom equal the related actual results.

These estimates, assumptions and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

As at September 30, 2025, there were no judgments, seasonal or cyclical aspects that materially affect the operations of the Group.

4. Cash and Cash Equivalents

Cash and cash equivalents consist of:

	September 30, 2025	December 31, 2024
Cash on hand	2,812,468	2,708,159
Cash in banks	219,957,716	276,742,969
Cash equivalents	104,652,273	103,582,267
	327,422,457	383,033,395

Interest income earned from cash in banks and cash equivalents as at September 30, 2025 and December 31, 2024 amounted to P2,180,707 and P1,451,287, respectively.

The carrying values of cash and cash equivalents represent maximum exposure to credit risk other than cash on hand. While cash and cash equivalents are also subject to the impairment of PFRS 9, the identified impairment loss was immaterial.

5. Trade and Other Receivables, Net

Trade and other receivables, net consist of:

	September 30, 2025	December 31, 2024
Trade receivables	1,585,265,509	1,564,761,615
Advances to officers and employees	72,974,619	186,516,788
Others	352,040	18,807,206
	1,658,592,167	1,770,085,609
Allowance for impairment losses	(412,872,413)	(452,990,359)
Unbilled Revenues	40,142,500	40,142,500
	1,285,862,254	1,357,237,750

Trade receivables are amounts due from customers for rendering harbor assistance and other marine services and solar energy fee in the ordinary course of the business with an average credit term of 30 to 60 days.

Advances to employees represent outstanding balances with existing employees and regular collections are made through liquidation and salary deduction.

The carrying value of trade and other receivables as at September 30, 2025 and December 31, 2024 approximates its fair value as at reporting date.

Allowance for impairment

The Group applies PFRS 9 simplified approach in measuring expected credit losses (ECL) which uses a lifetime expected loss allowance for all trade receivables.

To measure the ECL, trade receivables have been grouped based on shared credit risk characteristics and the days past due.

The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables. The Group has identified the inflation rate in the Philippines to be the most relevant factor, and accordingly adjusts the historical loss rates based on expected changes in such rates.

Movements in the provision for impairment are as follows:

	September 30, 2025	December 31, 2024
Beginning balances	452,990,359	441,367,965
Provision for impairment of trade and other receivables	-	12,212,023
Recovery	-	-
Write-off	(40,117,946)	-
Cumulative translation adjustment	-	(589,629)
Ending balances	412,872,413	452,990,359

6. Prepayments and Other Current Assets

Prepayments and other current assets consist of:

	September 30, 2025	December 31, 2024
Construction advances	141,254,805	135,952,244
Allowance for impairment of input VAT	-	(1,150,401)
Advances to suppliers	52,194,688	55,646,337
Prepayments	119,072,153	98,069,203
Input value-added tax (VAT), net	294,899,470	185,543,075
Refundable deposits	5,913,668	6,144,848
	613,334,784	480,205,306

Construction advances pertain to advances to suppliers, contractors and employees related to construction projects subject to liquidation.

Allowance for construction receivables pertain to uncollectible portion of uncompleted projects.

Prepayments consist mainly of hull and machinery insurance, motor car insurance, life and health insurance, fuel and charter hire of tugboats which is expected to be utilized for a period of less than a year.

Advances to supplier consist of advance payments on services to be performed within 12 months.

7. Investment in Associates

Investment in associates consist of:

	Note	September 30, 2025	December 31, 2024
GETC	1.3	19,275,755	19,275,755
KSSI	1.3	16,624,025	16,624,025
HEMSI	1.3	111,560,660	111,560,660
		147,460,440	147,460,440

The movements of investment in associate as at September 30, 2025 and December 31, 2024 are as follows:

	September 30, 2025	December 31, 2024
Beginning of period	147,640,440	206,628,414
Share in net profit	—	(57,968,214)
Dividends	—	(1,199,760)
Ending of period	147,640,440	147,640,440

GETC

The movement of investment in GETC are as follows:

	September 30, 2025	December 31, 2024
Beginning of period	19,275,755	19,695,850
Dividends Received	—	(1,199,760)
Share in net profit	—	779,665
Ending of period	19,275,755	19,275,755

Set out below is the summarized financial information of GETC:

	September 30, 2025	December 31, 2024
Net assets	96,378,773	96,378,773
Group's share in %	20%	20%
Group share in net assets	19,275,755	19,275,755

HEMSI

The movement of investment in the HEMSI are as follows:

	September 30, 2025	December 31, 2024
Beginning of period	111,560,660	170,308,539
Share in net profit	—	(58,747,879)
Dividends received	—	-
Ending of period	111,560,660	111,560,660

Set out below is the summarized financial information of HEMSI:

	September 30, 2025	December 31, 2024
Net assets	200,615,663	200,615,663
Group's share in %	31%	31%
Group's share in net assets	62,190,856	62,190,856
Goodwill	49,369,805	49,369,805
Carrying amount	111,560,661	111,560,661

8. Property and Equipment at Revalued Amounts, Net

Details of property and equipment carried at revalued amount are as follows:

	September 30, 2025	December 31, 2024
Beginning		
Revalued amount	20,050,924,209	21,301,362,269
Accumulated depreciation	(17,370,015,921)	(18,881,082,951)
Net carrying amount	2,680,908,288	2,420,279,318
Opening net carrying amount	2,680,908,288	2,420,279,318
Additions	340,260,811	609,932,554
Revaluation increments		
Cost	-	(1,033,861,262)
Accumulated Depreciation	-	1,016,038,608
Disposal		
Cost	-	(826,509,351)
Accumulated Depreciation	-	784,866,973
Reclassification	-	-
Depreciation	(304,932,352)	(327,777,083)
Impairment loss	-	37,938,531
Closing net carrying amount	2,716,236,747	2,680,908,288
At September 30, 2025		
Revalued amount	20,391,185,020	20,050,924,209
Accumulated depreciation	(17,674,948,273)	(17,370,015,921)
Net carrying amount	2,716,236,747	2,680,908,288

Useful lives of property and equipment at revalued amounts

The Group's management determines the estimated useful lives for its property and equipment at revalued amounts based on the period over which the assets are expected to be available for use. The Parent Company annually reviews the estimated useful lives of property and equipment based on factors that include asset utilization, internal technical evaluation, technological changes, environmental and anticipated use of assets tempered by related industry benchmark information. It is possible that future results of operations could be materially affected by changes in these estimates brought about by changes in factors mentioned.

An increase/decrease in the estimated useful life would impact the recorded net carrying amounts of property and equipment at revalued amounts with a corresponding increase/decrease in the profit for the year as a result of lower/higher depreciation expense charged through profit or loss.

Revaluation of tugboats

The Group carries its tugboats at appraised value, with changes in fair value being recognized directly in equity under revaluation surplus. The Group reviews the fair value of its tugboats periodically every 3 to 5 years.

The Group considers that it is impracticable to disclose with sufficient reliability the possible effects of sensitivities surrounding the estimates on recent market transactions on arm's length terms at the end of each reporting period. However, it is reasonably possible, based on existing knowledge, that changes in estimates would impact the recorded cost of services and property and equipment at revalued amount.

The Group engaged an independent valuation specialist in determining the fair value of some of its tugboats as at December 31, 2024. Management deems that the revalued amounts of tugboats not subjected to the independent appraisal in 2024 still approximate the fair value as at reporting dates with a significant number of tugboats only recently acquired at substantially comparable prices. The Group is considering revaluing the remaining of its tugboats in 2024.

9. Property, Plant and Equipment at Cost, Net

Details of property, plant and equipment are as follows:

	Tugboat	Land	Barges	Building and building improvements	Transportation equipment	Diving and oil spill equipment	Furniture, fixtures and leasehold improvements	Construction equipment	Construction-in-progress	Total
January 1, 2023										
Opening net carrying amount	2,184,552,659	39,556,011	212,058,353	1,648,709,916	12,947,320	224,850,022	715,632	8,635,192	23,007,603	4,355,032,708
Additions	177,316,267	-	45,601,596	47,121,481	3,998,026	80,408,779	519,280	112,496	250,047	355,327,972
Disposal	-	-	-	-	-	-	-	-	-	-
Cost	-	-	-	(30,102,560)	-	-	-	-	-	(30,102,560)
Accumulated depreciation	-	-	-	6,142,678	-	-	-	-	-	6,142,678
Reclassification	-	-	-	-	-	-	-	-	-	-
Cost	-	-	-	-	-	-	-	4,107,143	-	4,107,143
Accumulated Depreciation	-	-	-	-	-	-	-	(4,107,143)	-	(4,107,143)
Revaluation	-	-	-	-	-	-	-	-	-	-
Cost	4,819,840,608	-	-	-	-	-	-	4,107,143	-	4,823,947,751
Accumulated Depreciation	(4,418,348,520)	-	-	-	-	-	-	(4,107,143)	-	(4,422,455,663)
Reversal of Impairment	31,178,062	-	(107,801,168)	(94,622,550)	(3,774,992)	(33,966,717)	(600,633)	(1,558,178)	-	(211,146,176)
Impairment Loss	(63,424,921)									(63,424,921)
Depreciation	(310,834,837)									(310,834,837)
Translation adjustments						2,774,137	64,692			2,838,829
Closing net carrying amount	2,420,279,318	39,556,011	149,858,781	1,577,248,965	13,170,354	274,066,221	698,971	7,189,510	23,257,650	4,505,325,781
At December 31, 2023										
Cost	21,301,362,269	39,556,011	660,264,648	2,037,385,064	80,561,311	553,108,625	7,810,554	26,324,409	23,257,650	24,729,630,541
Accumulated depreciation	(18,881,082,951)	-	(510,405,867)	(461,170,742)	(66,356,314)	(285,215,655)	(7,464,610)	(19,134,899)	-	(20,230,831,039)
Cumulative translation adjustments	-	-	-	-	-	6,173,251	353,027	-	-	6,526,278
Net carrying amount	2,420,279,318	39,556,011	149,858,781	1,576,214,322	14,204,997	274,066,221	698,971	7,189,510	23,257,650	4,505,325,781
January 1, 2024										
Opening net carrying amount	2,420,279,318	39,556,011	149,858,781	1,576,214,322	14,204,997	274,066,221	698,971	7,189,510	23,257,650	4,505,325,781
Additions	335,412,202	-	122,112,199	5,975,928	8,178,499	38,873,849	986,867	20,246,965	42,306,446	574,092,955
Adjustment						46,660,072	4,133			46,664,205

Transfer	274,520,352					(274,520,352)	-			-
Disposal	-	-	-	-	-	-	-	-	-	-
Cost	(826,509,351)	-	-	-	(2,066,958)	(5,884,694)	-	-	-	(834,461,003)
Accumulated depreciation	784,866,973	-	-	-	2,066,958	4,156,705	-	-	-	791,090,636
Reclassification	-	-	-	-	-	-	-	-	-	-
Cost	-	-	72,975,686	-	-	-	-	-	-	72,975,686
Accumulated Depreciation	-	-	(22,582,480)	-	-	-	-	-	-	(22,582,480)
Revaluation	-	-	-	-	-	-	-	-	-	-
Cost	(1,033,861,262)	-	-	-	-	-	-	4,107,143	-	(1,029,754,119)
Accumulated Depreciation	1,016,038,608	-	-	-	-	-	-	(4,107,143)	-	1,011,931,465
Impairment Loss	(31,224,134)									(31,224,134)
Reversal of Impairment	71,038,552	-	-	-	-	-	-	-	-	71,038,552
Depreciation	(327,777,081)	-	(90,102,270)	(103,061,235)	(7,570,791)	(35,658,722)	(568,164)	(1,944,896)	-	(566,683,159)
Translation adjustments	(1,875,885)	-	-	-	-	10,506,291	506	-	-	8,630,912
Closing net carrying amount	2,680,908,292	39,556,011	232,261,916	1,479,129,015	14,812,705	58,199,370	1,122,313	25,491,579	65,564,096	4,597,045,297
At December 31, 2024										
Cost	20,050,924,209	39,556,011	854,457,400	2,044,395,633	85,638,219	358,237,500	8,801,554	46,571,375	65,564,096	23,554,145,997
Accumulated depreciation	(17,368,140,033)	-	(622,195,478)	(564,231,975)	(71,860,157)	(316,717,676)	(8,032,775)	(21,079,796)	-	(18,972,257,890)
Cumulative translation adjustments	(1,875,885)	-	-	-	-	16,679,531	353,544	-	-	15,157,190
Net carrying amount	2,680,908,291	39,556,011	232,261,922	1,480,163,658	13,778,062	58,199,355	1,122,323	25,491,579	65,564,096	4,597,045,297
Period Ended, September 30, 2025										
Opening net carrying amount	2,680,908,291	39,556,011	232,261,922	1,480,163,658	13,778,062	58,199,355	1,122,323	25,491,579	65,564,096	4,597,045,297
Additions	-		-	-	-	-	-	-	-	-
Cost	340,260,811	(0)	40,195,585	13,069,988	13,252,421	9,298,355	354,444	24,239,592	65,547,055	506,218,230
Accumulated depreciation	(306,808,240)	-	(97,355,711)	(74,064,371)	(3,860,378)	35,270,308	596,174	(4,269,111)	-	(450,491,330)
Depreciation	-	-	-	-	-	-	-	-	-	-
Translation adjustments	1,875,885	-	-	-	-	(16,679,531)	(353,544)	-	-	(15,157,190)
Closing net carrying amount	2,716,236,747	39,556,011	175,101,796	1,419,169,275	23,170,105	86,088,467	1,719,397	45,462,059	131,111,151	4,637,615,007
At September 30, 2025										
Cost	20,391,185,020	39,556,011	894,652,985	2,057,465,621	98,890,640	367,535,835	9,155,998	70,810,967	131,111,151	24,060,364,227
Accumulated depreciation	(17,674,948,273)	-	(719,551,189)	(638,296,346)	(75,720,535)	(281,447,368)	(7,436,601)	(25,348,908)	-	(19,422,749,220)
Cumulative translation adjustments	-	-	-	-	-	-	-	-	-	-
Net carrying amount	2,716,236,747	39,556,011	175,101,796	1,419,169,275	23,170,105	86,088,467	1,719,397	42,462,059	131,111,151	4,637,615,007

In 2019, the Group's pre-development cost from the ADGI acquisition amounting to P1.83 billion was reclassified to property, plant and equipment, upon start of ADGI's operations. Pre-development cost represents total expenditures incurred to date net of revenue from saleable material recognized during the pre-commercial production period, if any. Deduction is only appropriate if it can clearly be shown that the production of the saleable material is directly attributable to bringing the asset to the condition necessary for it to be capable of operating in the manner intended by management.

In 2019, it was assessed based on internal evaluations that they will be able to utilize the solar power plant for up to 20 years. In 2020 during its first full year of operations, ADGI management has reassessed the useful life of solar power plant. Based on internal evaluations, they will be able to utilize the solar power plant between 10 and 30 years which is also aligned with industry practice. As such, the management has approved the change in estimated useful life of solar power plant from 20 years to between 10 and 30 years. The change in estimated useful life is considered to be a change in accounting estimate accounted for prospectively by recognizing the effect of the change in the period change and future periods until the end of the useful life. The net effect of the change in useful life is a decrease in depreciation expense amounting to P3.1 million annually starting 2020.

In July 2019, ADGI started its commercial operations and recognized depreciation expense of P43.85 million in relation to the solar power plant capitalized.

In 2020, the ADGI reversed furniture and fixtures acquired in 2019 and its corresponding accounts payable amounting to P6,165 upon return of the furniture to the supplier.

Construction-in-progress as at September 30, 2025 and December 31, 2024 mainly comprise of additional office space being prepared for its intended use.

10. Computer Software, Net

The details of computer software, net are as follows:

	September 30, 2025	December 31, 2024
Revalued amounts:		
Beginning balance	50,809,438	45,404,201
Additions	4,642,654	5,405,237
Ending balance	55,452,092	50,809,438
Accumulated amortization:		
Beginning balance	42,252,681	38,883,381
Amortization	4,109,831	3,369,300
Ending balance	46,362,512	42,252,681
Net carrying amount	9,089,580	8,556,757

Management assessed that there are no indicators that computer software is impaired as at September 30, 2025 and December 31, 2024.

11. Investment Properties

As at September 30, 2025, and December 31, 2024, the Group's investment properties consist of parcels of land in various locations, which are held for capital appreciation

The movement in investment properties are as follows:

	September 30, 2025	December 31, 2024
Beginning of period	69,983,207	69,983,207
Additions	-	-
End of period	69,983,207	69,983,207

12. Other Non-Current Assets, Net

Other non-current assets consist of:

	September 30, 2025	December 31, 2024
Input VAT, net	332,777,710	332,777,710
Allowance for impairment of input VAT	(106,941,761)	(106,941,761)
Input VAT, net	225,835,949	225,835,949
Leasehold rights, net	15,540,588	16,179,241
Performance bond	-	829,091
Financial asset at fair value through other comprehensive income (FVOCI)	810,000	810,000
Refundable deposits	24,590,731	10,734,767
	266,777,268	254,389,049

Performance bond is a security required by the contracting party to ensure completion of performance of obligation if the performing party cannot fulfill its obligations, as set forth in the circular no DOE DC 2009-07-0011 Sec 16 Obligations of a Developer.

Allowance for impairment of input VAT is maintained at a level considered adequate to provide for potentially unrecoverable tax claims from excess input VAT. An evaluation of the recoverability of the excess input VAT, designed to identify potential charges to the provision, is performed on a continuous basis throughout the period. Management uses judgment based on the best available facts and circumstances, including but not limited to the evaluation of its future utilization based on long-term forecasts, in determining provision for impairment of input VAT. A change in the provision would impact the Group's recorded carrying value of input VAT and provision for impairment.

The movement in allowance for impairment of input VAT follows:

	September 30, 2025	December 31, 2024
Beginning of period	106,941,761	91,370,425
Provision for impairment	-	-
End of period	106,941,761	106,941,761

13. Trade and Other Payables

Trade and other payables consist of:

	September 30, 2025	December 31, 2024
Current		
Trade payables	633,780,048	612,184,906
Accrued expenses	580,404,285	535,844,679
Unearned income	-	-
Advance from officers and employees	67,031,965	46,957,021
Payable to government agencies	90,934,174	18,196,869
Provisions	-	-
Others	1,512,450	11,234,503
	1,373,662,922	1,224,417,978
Non-current		
Trade payables	9,298,942	9,298,942

Trade payables are generally noninterest-bearing and are settled in thirty (30) to ninety (90) days' term.

In 2019, the Group entered into a purchase agreement with a foreign supplier for the purchase of tugboat to be settled in twenty-four (24) monthly installment payments bearing an interest rate of 2.87%. In 2020, the terms of purchase agreement were modified by extending the monthly installments to thirty-six (36) months bearing an interest rate of 5.30%.

In 2021, the Group entered into another purchase agreement with a foreign supplier for the purchase of tugboat with an upfront payment of 50% and the remaining balance to be settled in 36 monthly installment payment bearing an interest rate of 5.25% per annum.

Accrued expenses are obligations based on normal credit terms and do not bear interest. These pertain to accruals made for regular monthly fees and other various accruals. Accruals are made based on prior month's billings and/or contracts and are normally settled within twelve (12) months from the end of the reporting period. Other accrued expenses are mainly composed of outstanding payable to insurance companies and unliquidated business expenses which are expected to be settled in the subsequent year.

Accrued construction costs pertain to unliquidated expenses of employees in relation to the construction projects of the Group.

Unearned income represents advance collections from customers, which will be recognized as revenue upon the performance of the contractually agreed tasks.

Payable to government agencies consist mainly of amounts due to Social Security System, Philippine Health Insurance Corporation and Home Development Mutual Fund, withholding taxes payable to BIR that are noninterest-bearing and are settled in ten (10) to fifteen (15) days' term.

Others pertain to output VAT.

14. Short-Term Loans and Borrowings

The outstanding short-term loans, current, and noncurrent portion long-term borrowings, and finance lease liabilities are as follows:

	September 30, 2025	December 31, 2024
Current portion of long-term borrowings		
Rizal Commercial Banking Corporation	637,500,000	739,477,029
CTBC (Philippines) Corporation	43,697,850	96,197,850
DBP Leasing	5,807,703	5,807,703
Bank of the Philippine Islands	26,356,343	-
Development Bank of the Philippines	26,279,493	78,328,006
Philippine National Bank	863,002	1,055,508
Ambank (M) Bhd	3,458,640	3,458,640
Orix Credit Malaysia Sdn Bhd	21,110,153	42,097,316
RHB Bank	10,116,227	12,640,607
Others	20,011,204	170,253
	795,200,616	979,232,912

	September 30, 2025	December 31, 2024
Non-current portion of long-term borrowings		
Development Bank of the Philippines	2,036,768,380	2,036,768,380
CTBC (Philippines) Corporation	261,115,847	261,115,847
DBP Leasing	34,178,522	34,961,933
	2,332,062,750	2,332,846,161

Parent Company

On September 13, 2021, the Parent Company entered into a loan agreement with one of its director and shareholder, for a principal of JPY 55,000,000 or P24,271,500 for use as downpayment for the purchase of a tugboat. The loan bears an interest rate of 8.50% per annum and is payable quarterly starting December 13, 2021. The principal amount of the loan is payable on June 13, 2022.

On October 4, 2021, the Parent Company availed of a short-term borrowing from a local financing company amounting to P70,000,000 with 12% interest per annum. The amount borrowed was paid and settled in December 2021.

As at December 31, 2021, the Parent Company's unsecured short-term loans from local banks and from shareholder which bear interest rates ranging from 5.25% to 8.50% (2020 - 4.80% to 6.70%) and have maturity of one (1) to six (6) months from reporting date.

As at December 31, 2021, the Parent Company's long-term borrowings bear annual interest rate ranging from 4.87% to 9.23% (2020 - 4.50% to 13.65%) are payable in various installments maturing on various dates from 2023 to 2030. These are secured by chattel mortgages to certain Parent Company-owned tugboats, transportation equipment and barges.

In 2020, the long-term borrowings agreements require compliance by the Parent Company to various covenants including, among others, the maintenance of financial ratios. As at December 31, 2020, the Parent Company was in the process of securing waivers for non-compliance with debt covenants. Hence, certain long-term borrowings amounting to P112,500,000 were presented as current liabilities in 2020. In 2021, the Parent Company is compliant with all its debt covenants in 2021. Consequently, borrowings were reclassified as non-current in 2021.

Both short-term loans and long-term borrowings were obtained specifically for working capital purposes and to finance capital expenditures that are non-qualifying assets.

Due to the impact of the COVID-19 pandemic and community quarantine, the Parent Company has entered into loan restructuring agreement with Rizal Commercial Banking Corporation (RCBC) and Asia United Bank (AUB) in 2020 and with Chinatrust Philippines Commercial Bank Corporation (CTBC) in 2021.

On October 16, 2020, the Parent Company availed of the Credit Assistance and Recovery (CARE) Program of RCBC. The Parent Company entered into a loan conversion agreement whereby its outstanding promissory notes amounting to P1.14 billion and term loan amounted to P146.3 million with a maturity date ranging from October 2019 to November 2020 and from March to July 2019, respectively, was converted into 57 monthly term loan of P1.291 billion with the principal amount payable in 48 monthly installments of P11.125 million starting July 15, 2021 and a balloon payment of P757 million on the 57th month on July 14, 2025. Under the loan conversion agreement, compliance with debt covenants will be effective starting 2021 upon the start of repayment. Gain on loan restructuring was not recognized as it is deemed immaterial.

On July 13, 2020, the Parent Company received the Notice of Approval of Amendments to its outstanding borrowings with AUB amounting to P142.1 million. The amendments to the borrowings include the extension of nine (9) months from original maturity date of September 27, 2022, principal amount to be repaid in 11 quarterly amortizations commencing nine (9) months from December 23, 2020 and a revised fixed interest rate of 7.5% per annum from 6.25%.

On October 7, 2021, the Parent Company entered into a loan restructuring agreement with CTBC whereby outstanding promissory notes were consolidated into one (1) promissory note with the principal amount of P477.3 million. The interest rate previously ranging from 4.88% to 7.00% was revised to three (3) month BVAL plus 3.5% per annum or a minimum of 5.25% per annum subject to quarterly repricing. The principal amount of the long-term borrowing amounting to P477.3 million is to be settled in 20 quarterly payment starting January 2022 with a final balloon payment amounting to 45.53% of the principal to be settled in December 2026. A gain on debt restructuring amounting to P3,928,685 was recognized in 2021. This is considered a non-cash transaction in the statement of cash flow.

ADGI

On January 19, 2018, ADGI secured an Omnibus Loan Agreement with Development Bank of the Philippines (DBP) for a principal amount of P1.59 billion available in the form of advance term loan or Import Letter of Credit payable in 12 years, inclusive of a one (1) year and six (6) months-grace period, with the principal payable in 42 quarterly amortizations with 35% balloon payment due at maturity to commence at the end of seventh (7th) quarter from date of initial drawdown until fully paid. The loan is covered by various securities which include among others 100% ownership shares pledged, continuing deed of assignment of receivables from customers, continuing deed of assignment of rights arising from engineering, procurement, and construction contracts with the DOE. The purpose of the borrowing is to finance the construction of the 26.88-megawatt solar power plant in General Santos City.

On February 12, 2020, ADGI entered into an Amendment to the Omnibus Loan Agreement with DBP and agreed on a change in repayment terms. ADGI shall repay the loan in 12 years, inclusive of two (2) years grace period, the principal payable in 40 quarterly amortizations with thirty-five percent (35%) balloon payment due at maturity to commence at the end of the ninth (9th) quarter from the date of initial drawdown until fully paid. All principal payment affected shall be re-amortized.

Due to the impact of the COVID-19 pandemic and community quarantine, ADGI has subsequently entered into a loan restructuring agreement with Development Bank of the Philippines in 2021.

In 2019, ADGI has paid a principal amount of the loan amounting to P8,794,736. In 2020, DBP has reversed the payment of principal and applied it as payment of outstanding interest. This is considered a non-cash activity.

The long-term borrowing agreement requires compliance by the Parent Company to certain various covenants including, among others, the maintenance of financial ratios after a year of commercial operations. The Parent Company shall always maintain a debt-to-equity ratio (DER) of not exceeding 2:1 and current ratio and debt service coverage ratio of less than one (1) as defined in the Term Loan Facility Agreement. As at December 31, 2019, the debt covenants are not yet applicable as commercial operations only started in July 2019. As at December 31, 2020, the Parent Company has substantially complied with most of the covenants except for financial ratios hence the entire balance of loan is reclassified as current in 2020.

On April 16, 2021, ADGI has entered into a loan restructuring agreement with DBP whereby its outstanding term loan with a principal amount of P1,584,900,000 payable in 40 quarterly amortizations starting in July 2020 with thirty-five percent (35%) balloon payment due in April 2030, was extended with an additional two (2) year grace period payable in 43 quarterly amortizations to commence on October 19, 2022, with a final maturity on April 19, 2033. Interest on the restructured loan is at a fixed rate for five (5) years based on the lender's prevailing rate at effective date renewable at the end of every five (5) years based on the then prevailing rate. In addition, the interest and other charges related to the term loan amounting to P90.20 million as at January 19, 2021 was capitalized and restructured into a five (5) year term loan with a fixed interest rate based on the lender's prevailing rate at effective date, payable quarterly to commence on October 19, 2022, with a final maturity on October 19, 2025. Under the loan restructured agreement, debt covenants exclude compliance with financial ratios. ADGI is compliant with all its debt covenants as at December 31, 2021. In 2021, a loss on debt restructuring amounting to P48,975,828 was recognized in 2021. This is considered a non-cash transaction in the statement of cash flows.

HSSC

On April 23, 2019, HSSC entered three (3) year loan agreement with a local bank for a principal amount of P741,071, to finance the purchase of a vehicle. The amount was drawn with a fixed interest rate of 9.22% per annum. The principal and interest amount are payable in thirty-six (36) monthly amortization commencing April 23, 2019 until maturity of the loan. The vehicle was pledged as collateral for the loan.

Peak Flag

On April 15, 2021, Peak Flag entered a three (3) year loan agreement with a local financial institution for a principal amount of P48,645,600 or MYR 4,000,000 for working capital purposes. The amount was drawn with a fixed interest rate of 8.25% per annum. The principal and interest amount are payable in thirty-six (36) monthly amortization commencing May 15, 2021 until maturity of the loan. A tugboat was pledged as collateral for the loan.

On March 28, 2023, Peak Flag borrowed funds from RHB Bank amounting to MYR1,000,000 (PHP12,314,200) term loan with interest at 5.50%, interest and principal amortization payable monthly from initial drawdown, matures in April 2030.

15. Equity

As at September 30, 2025 and December 31, 2024, the Parent Company's authorized share capital amounting to P2 billion is composed of 2 billion shares with par value of P1 per share.

Movements and details of share capital are as follows:

	Number of common shares issued and outstanding	Amount		
		Share capital	Share premium	Treasury shares
At September 30, 2025 and December 31, 2024	894,586,870	907,857,870	121,632,762	(37,614,990)

On October 29, 2012, the Parent Company submitted its Registration Statement to the Philippine SEC. On October 30, 2013, the IPO of the Parent Company's shares were issued with an issue/offer price of P1.88 per share. Total shares registered and subscribed was 181.6 million shares resulting in share capital of P181.6 million and additional paid-in capital of P121.6 million net of transaction costs amounting to P24.6 million. There are no other share offering after the IPO in 2013.

On March 6, 2017, the BOD and shareholders approved to amend the Parent Company's articles of incorporation to increase its authorized capital stock from P1.5 billion to P2 billion.

Treasury shares

On September 24, 2018, the Parent Company's BOD approved the share buyback program which was implemented in various dates in 2018 and 2019. The Parent Company acquired a total of 13,271,000 treasury shares for a total amount of P37,614,990.

No shares were repurchased for the periods ended September 30, 2025 and December 31, 2024.

Earnings (Loss) per share

Basic earnings per share is calculated by dividing the net income attributable to shareholders of the Parent Company by the weighted average number of ordinary shares in issue during the period, excluding ordinary shares purchased by the Parent Company and held as treasury stocks, if any.

Total issued ordinary shares for the period has been adjusted for impact of stock split and stock dividends, if any.

Earnings (loss) per share is calculated as follows:

	Nine Months Ended September 30,	
	2025	2024
Net income (loss) attributable to the Parent Company	59,911,900	297,404,132
Weighted average number of common shares	894,586,870	894,586,870
Basic and diluted earnings per common share	(0.07)	0.33

The basic and diluted earnings per share are the same each for the year presented as there are no potential dilutive common shares

16. Service Income, Net

The components of net service incomes are:

	Nine Months Ended September 30,	
	2025	2024
Harbor assistance, net of discounts and rebates	1,297,574,005	1,359,918,566
Salvage income	87,055,950	6,623,380
Revenue on generation of solar power	107,456,750	106,630,915
Towing revenue	41,955,539	28,511,609
Construction revenue	89,949,532	213,619,522
Lighterage service	82,486,634	47,574,696
Oil spill response	173,566,700	342,055,840
Underwater services	146,578,418	57,591,028
Other marine services	12,639,025	82,023,066
Others	66,647,259	31,784,804
	2,105,909,813	2,276,333,426

Harbor assistance pertains to services rendered in assisting ships and other watercrafts in docking and undocking at the port.

Others consist of income generated from diving and other underwater services, among others. The Group revenue is divided into two business segments - harbor assistance and renewable energy.

17. Cost of Services

The components of cost of services are:

	Nine Months Ended September 30,	
	2025	2024
Fuel and lubricants	394,477,173	348,301,475
Depreciation and amortization	413,232,587	431,977,579
Personnel costs	202,072,776	203,494,883
Outside services	52,633,107	110,622,078
Insurance	57,491,305	57,621,381
Supplies	75,262,320	69,253,048
Charter hire/rental	145,800,465	87,085,212
Representation and entertainment	16,483,542	10,146,202
Port expense	20,804,468	6,501,570
Repairs and maintenance	38,505,178	58,567,272
Transportation and travel	14,074,238	20,593,124
Taxes and licenses	8,650,674	11,659,672
Freshwater	5,090,517	2,706,070
Communication, light and water	1,979,199	2,550,786
Professional fees	8,347,569	11,204,479
Membership and registration	648,042	27,534
Direct materials and supplies	(1,275,404)	92,844,807
Direct labor	39,130,011	92,196,033
Others	9,175,477	12,587,196
	1,502,583,244	1,629,940,401

Others mainly pertain to commission, marketing expenses, donation and contribution, post, courier and handling and charges.

18. General and Administrative Expenses

The components of general and administrative expenses are:

	Nine Months Ended September 30,	
	2025	2024
Personnel costs	144,412,308	125,491,730
Provision of impairment loss	832,561	-
Taxes and licenses	23,289,583	19,566,363
Representation and entertainment	18,035,103	22,009,699
Repairs and maintenance	21,754,191	21,335,850
Depreciation and amortization	20,813,726	23,536,307
Outside services	8,084,222	7,954,039
Transportation and travel	21,663,151	21,608,285
Insurance	9,567,827	2,798,251
Communication, light and water	9,560,998	6,595,560
Rent	4,607,615	4,140,907
Supplies	10,439,823	11,588,710
Professional	12,677,178	10,579,353
Commission	203,763	-
Membership and dues	1,732,494	2,429,837
Advertising and promotions	1,841,420	589,043
Others	7,893,008	17,599,842
	317,408,971	297,823,776

Others mainly pertain to post, courier and handling expenses and charges.

19. Retirement Costs

The Parent Company has an unfunded, non-contributory, and actuarially computed retirement benefit plan which provides a retirement benefit in accordance with the local conditions and practices in the Philippines. Under the Plan, the normal retirement age is 60 with a minimum of five years of service.

The retirement benefit obligation is determined using the "Projected Unit Credit" (PUC) method. Under the PUC method, the annual normal cost for the portion of the retirement benefit is determined as the amount necessary to provide for the portion of the retirement benefit accruing during the year. The latest actuarial valuation report of the Company prepared by the independent actuary is for the year ended December 31, 2024.

20. Related Party Transactions and Balances

Transactions with related parties consist of noninterest-bearing advances that have no fixed repayment terms and are due and demandable. The Group's related party transactions are as follows:

The table below summarizes the outstanding balances with related parties:

	Terms and conditions	September 30, 2025	December 31, 2024
<i>Advances to a related party, net of provision:</i>			
Entity under common control	These are unsecured, non-interest bearing, due on demand and are to be collected in cash.	28,908,507	19,363,715
Officers	These are unsecured, non-interest bearing and are subject to liquidation.	72,974,619	186,516,788
<i>Advances from related parties:</i>			
Entity under common control	These are unsecured, non-interest bearing due on demand and are to be paid in cash.	-	-
Officers	These are unsecured, non-interest bearing, due on demand and are to be paid in cash.	67,031,965	46,957,021

The Group has not provided share-based payments, termination benefits or other long-term benefits other than retirement benefits to its key management personnel for the periods ended September 30, 2025 and December 31, 2024.

21. Income Tax Expense

All the companies in the Group are subject to normal corporate income tax rate at 25% in 2022 except for HSSC and ADGI. HSSC is registered under Republic Act No. 7227, otherwise known as Bases Conversion and Development Act of 1992, that enables it to be under Gross Income Taxation (GIT) of 5%. ADGI is registered under the Renewable Act 9531, an Act Promoting the Development, Utilization, and Commercialization of Renewable Energy Resources and For Other Purposes, that provides for fiscal incentives including income tax holiday.

Corporate Recovery and Tax Incentives for Enterprises Act (CREATE)

On March 26, 2021, Republic Act (RA) No. 11534, otherwise known as CREATE, was signed into law. Among the salient provisions of CREATE include changes to the Corporate Income Tax (CIT) as follows:

- RCIT rate of 20% (from 30%) shall be applicable to domestic corporations with net taxable income not exceeding P5 million and with total assets not exceeding P100 million (excluding land on which the business entity's office, plant and equipment are situated) from July 1, 2020;
- RCIT rate of 25% (from 30%) shall be applicable to all other domestic and foreign corporations from July 1, 2020; and
- For the period beginning July 1, 2020 until June 30, 2023, the MCIT rate shall be 1%, instead of 2%.

PAS 12, Income Taxes, requires current and deferred taxes to be measured with reference to the tax rates and laws, as enacted or substantively enacted by the end of the reporting period.

As at December 31, 2020, the CREATE bill was still pending ratification by both the Philippine Congress and Senate, and consequently pending approval of the President of the Republic of the Philippines. As such, the Company has assessed that the proposed tax law is not enacted or substantively enacted as at December 31, 2020. For financial reporting purposes, the enactment of CREATE after December 31, 2020 is deemed a non-adjusting subsequent event.

PAS 10, Events After Reporting Period, indicated the change in tax rates as one of the non-adjusting subsequent events and therefore any impact of the new tax rates if enacted on or prior to financial statement release will only be disclosed in the 2020 financial statements as a subsequent event item.

The movements in the Group's net DIT assets (liabilities) for the periods are as follows:

	September 30, 2025	December 31, 2024
Beginning of the year	(236,833,784)	(243,382,220)
DIT credited to profit or loss	-	1,928,036
DIT credited (charged) to comprehensive income	-	5,977,803
Cumulative translation adjustment		(1,357,403)
End of period	(236,833,784)	(236,833,784)

Income tax expense as at September 30, 2025 and December 31, 2024 are as follows:

	September 30, 2025	December 31, 2024
Current	22,822,498	83,940,947
Deferred	-	(1,928,036)
	22,822,498	82,012,911

22. Financial Instruments, Financial Risk Management, Objective and Policies

Fair Values of Financial Instruments

The following methods and assumptions were used to estimate the amount of fair value of each class of financial instrument for which it is practicable to estimate such value:

The Group has determined that the carrying amounts of financial assets such as cash, trade receivable, gross of allowance for impairment losses, construction receivables, gross of allowance for loss, deposit bond, advances to related parties, refundable deposits and financial assets at fair value through other comprehensive income and financial liabilities such as trade and other payables (excluding payable to government agencies, unliquidated expenses and unearned income), short-term loans and borrowings, finance lease liabilities and lease liabilities based on their notional amounts, reasonably approximate their fair values because these are mostly short-term in nature.

Financial Risk Management Objectives and Policies

The Parent Company's BOD has the overall responsibility for the establishment and oversight of the Group's risk management framework. The Group's risk management policies are established to identify and manage the Group's exposure to financial risks, to set appropriate transaction limits and controls, and to monitor and assess risks and compliance to internal control policies. Risk management policies and structure are reviewed regularly to reflect changes in market conditions and the Group's activities.

The main risks arising from the use of financial instruments are market risk, credit risk and liquidity risk. The Parent Company's BOD reviews and approves the policies for managing each of these risks.

Components of financial assets and liabilities

Financial assets

Group's financial assets are as follows:

	September 30, 2025	December 31, 2024
Cash	327,422,457	383,033,395
Trade and other receivables, gross*	1,212,887,635	1,642,267,830
Refundable deposit	24,590,731	16,879,615
Financial assets at fair value through other comprehensive income (FVOCI)	810,000	810,000
	1,565,710,823	2,024,990,840

**Excluding advances to officers, employees and other subject to liquidation*

Financial liabilities

Group's financial liabilities are as follows:

	September 30, 2025	December 31, 2024
Trade and other payables	1,382,961,864	1,233,716,920
Loan borrowings	3,127,263,366	3,309,546,411
Lease liabilities	42,234,365	46,219,908
	4,552,459,595	4,589,483,239

Market Risk

Market risk is the risk of loss to future earnings, to fair values or to future cash flows that may result from changes in the price of a financial instrument. The value of a financial instrument may change as a result of changes in foreign currency exchange rates and interest rates.

Foreign Currency Risk

Foreign exchange risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. Most transactions are carried out in Philippine Peso, which is the Parent Company's functional currency. Exposures to currency exchange rates arise from the Group's overseas transactions, which are primarily denominated in United States Dollar (USD), Japanese Yen (JPY) and Malaysian Ringgit (MYR). The Parent Company also maintains

US Dollar-denominated bank accounts. Further, the Group has JPY payables from foreign suppliers, which have been used for the purchase of certain tugboats and maintains MYR bank accounts and receivables. To mitigate the Group's exposure to foreign currency risk, non-Philippine Peso cash flows are monitored on a regular basis

The fluctuation of exchange rates may result to foreign exchange gains or losses.

Price Risk

The Group is exposed to equity securities price risk because of the Group's proprietary shares in golf and country club classified as financial assets at fair value through other comprehensive income in the consolidated statement of financial position.

As at September 30, 2025 and December 31, 2024, the Group's exposure to price risk is not considered significant.

Cash flow and fair value interest rate risk

Cash flow interest rate risk is the risk that the future cash flows of a financial assets and liabilities will fluctuate because of changes in market interest rates. Fair value interest rate risk is the risk that the value of a financial assets and liabilities will fluctuate because of changes in market interest rates.

The Group's financial liabilities are subject to fixed rates and are measured at amortized cost, hence not subject to repricing and independent of changes in market interest rates.

Credit Risk

Credit risk arises from cash deposited in banks and financial institutions, as well as credit exposures on amounts receivable from customers, related parties and other parties. The Group provides services only to recognized, creditworthy third parties. Individual risk limits are set based on internal ratings in accordance with limits set by the Parent Company's BOD. The utilization of credit limits is regularly monitored. In addition, the Group's receivables are monitored on an ongoing basis and stringent collection policy enforced resulting in an insignificant exposure to bad debt.

Credit Quality of Financial Instruments

The credit quality of the financial statements is classified into three: high grade, which includes instruments with insignificant risk of default based on historical experience; standard grade, which includes quoted and unquoted equity investments that can be readily sold to a third party; and substandard grade, which includes accounts with pending payment negotiations.

Liquidity Risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group's objective in managing liquidity risk is to ensure, as far as possible, that it will always have sufficient funds to meet its liabilities as they fall due, under both normal and stressed conditions, without incurring unacceptable losses or risking adverse effect to the Group's credit standing.

The Group manages liquidity risk by maintaining a balance between continuity of funding and flexibility. As part of its liquidity risk management, the Group regularly evaluates its projected and actual cash flows.

23. Capital Management

The primary objective of the Group's capital management is to safeguard the Group's ability to continue its operations on a going concern basis in order to provide adequate return to its shareholders and maintain optimal capital structure to reduce cost of capital and lessen the need to obtain long-term borrowings and maximize shareholder value.

The Group manages its capital structure and makes the adjustments to it, considering changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made in the objectives, policies, or processes as at September 30, 2025 and December 31, 2024.

The Group monitors capital based on the carrying amount of equity as presented in the face of the consolidated statements of financial position. The Group's goal is to manage a debt-to-equity ratio not exceeding 2:1.

As at September 30, 2025 and December 31, 2024, the Group's debt-to-equity is calculated as follows:

	September 30, 2025	December 31, 2024
Total debt	4,552,459,595	4,589,483,239
Total equity	2,332,621,642	2,188,609,449
Debt-to-equity ratio	1.95:1	2.10:1

As at December 31, the Parent Company has not complied with certain financial ratios including debt to equity and debt service cover ratio that resulted in the reclass of a portion of loans to current.

The Group computes its total debt as follows:

	September 30, 2025	December 31, 2024
Trade and other payables	1,382,961,864	1,233,716,920
Loan borrowings	3,127,263,366	3,309,546,411
Lease liabilities	42,234,365	46,219,908
	4,552,459,595	4,589,483,239

The Group computes its total equity as follows:

	September 30, 2025	December 31, 2024
Share capital	907,857,870	907,857,870
Additional paid-in capital	121,632,762	121,632,762
Retained earnings (deficit) attributable to the owners of the Parent Company	392,076,806	248,064,613
Financial asset at fair value through other comprehensive income	(160,000)	(160,000)
Treasury shares	(37,614,990)	(37,614,990)
Revaluation surplus, net of tax	948,829,194	948,829,194
	2,332,621,642	2,188,609,449

As part of the reforms of the PSE to expand capital market and improve transparency among listed firms, PSE has required listed entities to maintain a minimum of fifteen percent (15%) of their listed issued and outstanding shares to be held by public. The Group is compliant with respect to this requirement as at September 30, 2025 and December 31, 2024.

24. Contingencies

The Group is currently involved in various pending claims and lawsuits which could be decided in favor or against the Group. The information pertaining to such matters is not disclosed on the grounds that it can be expected to seriously prejudice the outcome of the litigation. The Group currently does not believe that these proceedings will have a material effect on its financial position.

SCHEDULE A

Harbor Star Shipping Services, Inc. and Subsidiaries

Financial Assets
September 30, 2025

Name of issuing entity and association of each issue	Number of shares or principal amount of bonds and notes	Amount shown in the statement of financial position	Value based on market quotations at end of reporting period	Income received and accrued
Financial assets at amortized cost				
Cash on hand and in banks	-	327,422,457	-	-
Trade receivables	-	1,212,887,635	-	-
Refundable deposits	-	24,590,731	-	-
	-	1,564,900,823	-	-
Financial asset at fair value through other comprehensive income				
Investment in Short Term Fund - BDO	-	-	-	-
Investment in golf shares- Rancho Palos Verdes Golf and Country Club	-	810,000	-	-
Total	-	1,565,710,823	-	-

SCHEDULE B**Harbor Star Shipping Services, Inc. and Subsidiaries**

Amounts Receivable from Directors, Officers, Employees, Related Parties and Principal Stockholders
(Other than Related Parties)
September 30, 2025
(All amounts in Philippine Peso)

Name of designation of debtor	Balance at beginning of period	Additions	Amounts collected	Amounts written-off	Current	Balance at end of the period
Bella, Geronimo Dela Paz (President)	16,277,871	7,215,765	10,157,809	-	13,335,827	13,335,827
Bella, Ricardo Rodrigo Dela Paz (Vice President)	1,366,964	8,118,419	200,000	-	9,285,383	9,285,383
Bella, Virginia May Dela Paz (Legal Services Manager)	104,559	-	104,559	-	-	-
Caranzo, Lorenzo Cabanlit (Operations Division Head)	2,095,151	-	2,095,151	-	-	-
	19,844,545	15,334,184	12,557,519	-	22,621,209	22,621,209

SCHEDULE C**Harbor Star Shipping Services, Inc. and Subsidiaries**

Amounts Receivable from Related Parties which are eliminated
during consolidation of financial statements
September 30, 2025
(All amounts in Philippine Peso)

Name of designation of debtor	Balance at beginning of period	Additions	Amounts collected	Amounts written-off	Current	Balance at end of the period
Peak Flag SDN BHD	178,634,704	-	15,249,982	-	163,384,722	163,384,722
ASTRONERGY Development Gensan Inc. (ADGI)	412,077,718	-	21,302,051	-	390,775,667	395,029,667
ASTRONERGY Development F1, Inc. (ADF1)	594,936	89,758	-	-	684,694	684,694
ASTRONERGY Development F2, Inc. (ADF2)	599,513	89,759	-	-	689,272	689,272
Harbor Star Subic Corp	552,008,488	-	390,186,658	-	161,821,830	161,821,830
Harbor Star Energy Corporation	278,589,261	8,452,453	-	-	287,041,714	287,041,714
Harbor Star Construction Corporation	3,235,569	14,971,249	-	-	18,206,818	18,206,818
Harbor Star East Asia (Myanmar) Ltd.	2,271,930	-	-	-	2,271,930	2,271,930
	1,428,012,119	23,603,219	426,738,691	-	1,024,876,647	1,024,876,647

SCHEDULE D

Harbor Star Shipping Services, Inc. and Subsidiaries

Long-term Debt
September 30, 2025

Title of issue and type of obligation	Amount authorized by indenture	Amount shown under caption "current portion of long-term debt" in related statement of financial position	Amount shown under caption "Long-term debt" in related statement of financial position	Notes
Bank borrowings	1,675,102,784	43,328,006	1,605,168,380	<i>DBP restructured cash loan and its capitalized accrued interest, interest at 6.50% per annum, interest and principal amortization payable quarterly starting October 2023, matures on April 19, 2033.</i>
Bank borrowings	481,600,000	39,354,550	438,372,610	<i>DBP restructured cash loan and its capitalized accrued interest, interest at 6.50% per annum, interest and principal amortization payable quarterly starting March 2023, matures on December 29, 2028.</i>
Bank borrowings	2,160,800	1,055,510	769,637	<i>PNB cash loans, interest at 8% per annum, various maturities in 2023</i>
Bank borrowings	477,335,005	91,843,300	254,343,240	<i>CTBC restructured cash loans, interest at 5.25% per annum subject to quarterly repricing, interest and principal amortization payable quarterly starting January 2022, matures on December 30, 2026.</i>
Bank borrowings	6,080,700	1,075,908	2,502,470	<i>Ambank cash loan, MYR500,000 (or PHP6,080,700) term loan with interest at 6.70% interest and principal amortization payable monthly from initial drawdown, matures in September 2027</i>

Bank borrowings and borrowing from financial institution	45,455,200	14,311,325	26,629,000	<i>Orix cash loan, MYR5,000,000 (or PHP48,645,600) term loan with interest at 8.25%, interest and principal amortization payable monthly from initial drawdown, matures in April 15, 2024</i>
Bank borrowings	28,960,080	2,085,535	9,229,910	<i>RHB Bank cash loan, MYR1,000,000 (or PHP12,314,200) term loan with interest at 5.50%, interest and principal amortization payable monthly from initial drawdown, matures in April 2030</i>
Bank borrowings	1,291,000,000	737,750,000	-	<i>RCBC cash loan, interest at 7.50% per annum, interest and principal amortization payable quarterly, matures on July 14, 2025</i>
Bank borrowings	11,717,900	1,727,030	-	<i>RCBC car loan, interest rates ranging from 8.12% to 8.97% per annum, interest and principal amortization payable monthly, various maturities from 2024 to 2025</i>
Lease Liability	40,000,000	5,807,703	34,192,297	<i>DBP Leasing, interest at 6% per annum, for 10 years, matures on September 15, 2024.</i>
	5,346,619,716	109,756,409	3,539,931,279	

SCHEDULE E

Harbor Star Shipping Services, Inc. and Subsidiaries

Indebtedness to Related Parties
(Long-term Loans from Related Companies)
September 30, 2025

Name of related party	Balance at beginning of period	Balance at end of period
NONE		

SCHEDULE F

Harbor Star Shipping Services, Inc. and Subsidiaries

Guarantees of Securities of Other Issuers
September 30, 2025

Name of issuing entity of securities guaranteed by the Group for which this statement is filed	Title of issue of each class of securities guaranteed	Amount owned by person for which statement is filed	Nature of guarantee
NONE			

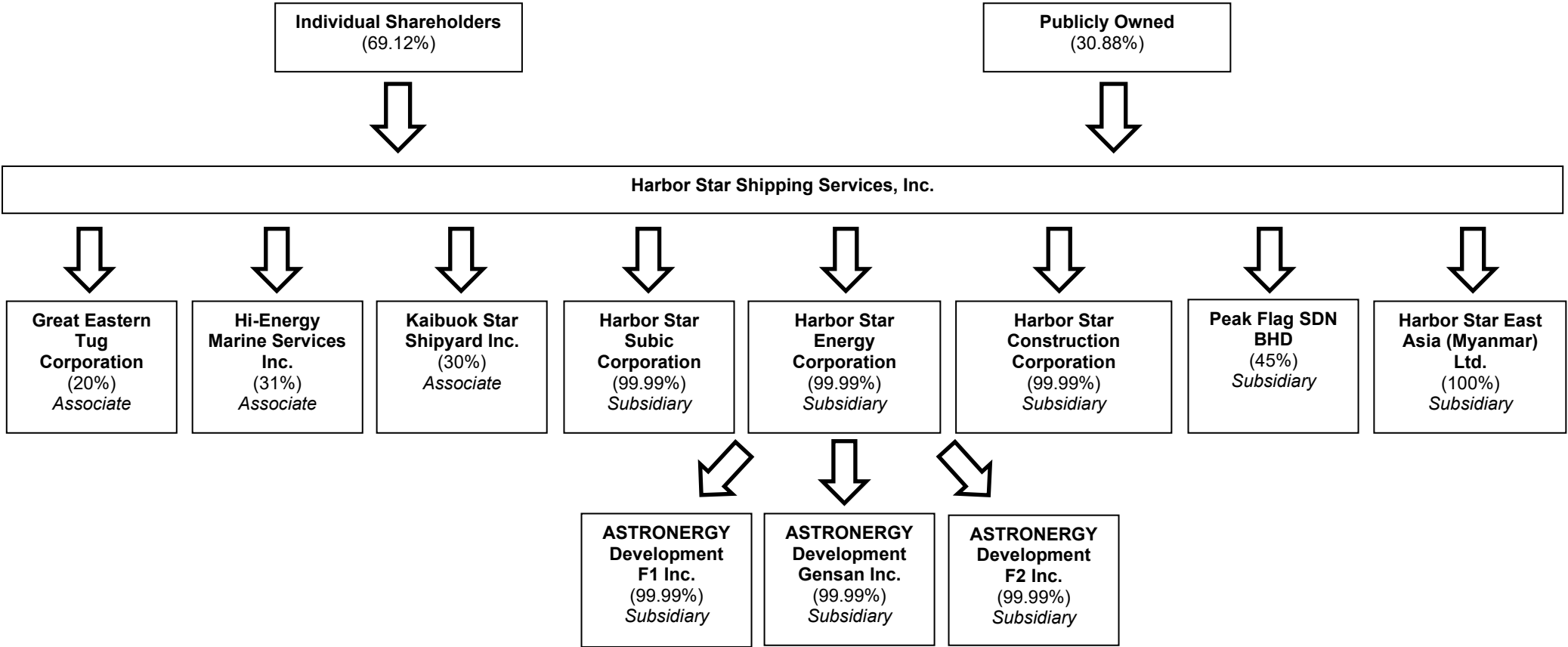
SCHEDULE G**Harbor Star Shipping Services, Inc. and Subsidiaries**

Share Capital
September 30, 2025

Title of issue	Number of shares authorized	Number of shares issued and outstanding as shown under statement of financial position caption	Number of shares reserved for options, warrants, conversion and other rights	Number of shares held by		
				Related parties	Directors, officers and employees	Others
Common stock - P1 par value	2,000,000,000	894,586,870	-	-	616,665,227	277,921,643

Harbor Star Shipping Services, Inc. and Subsidiaries
2224 A. Bonifacio St., cor. Pres. Sergio Osmeña
Bangkal, Makati City

A Map Showing the Relationships between and among the Parent Company and its
Subsidiaries and Associate
September 30, 2025



Reconciliation of Parent Company's Retained Earnings Available for Dividend Declaration
For the period ended September 30, 2025
(All amounts in Philippine Peso)

Unappropriated retained earnings, January 1, 2025	471,027,037
Net income based on the face of the unaudited financial statements	86,370,870
Less: Non-actual/unrealized income net of tax	
Equity in net income of associate/joint venture	-
Unrealized foreign exchange gain - net (except those attributable to cash)	-
Unrealized actuarial gain	-
Fair value adjustment (M2M gains)	-
Fair value adjustment of Investment Property resulting to gain	-
Adjustment due to deviation from PFRS/GAAP-gain	-
Other unrealized gains (losses) or adjustments to the retained earnings as a result of certain transactions accounted for under the PFRS	-
Add: Non-actual losses	
Depreciation on revaluation increment (after tax)	-
Adjustment due to deviation from PFRS/GAAP – loss	-
Loss on fair value adjustment of available-for sale financial assets (after tax)	-
Profit actually earned/realized during the year	557,397,907
Add: Release of retained earnings appropriation	-
Less: Treasury shares	-
Stock dividends declared during the year	-
Cash dividends declared during the year	-
Unappropriated retained earnings, September 30, 2025	557,397,907

Harbor Star Shipping Services, Inc. and Subsidiaries

Aging of Trade and Other Receivables, net
September 30, 2025

	Neither Past Due nor Impaired		Past Due but not Impaired			Impaired	Total
		1-30 days	31-60 days	61-90 days	Over 90 days		
Trade	62,697,799	129,347,263	74,867,835	43,645,648	1,647,461,431	(372,754,467)	1,585,265,509
Officers & Employees	167,800	4,360,681	2,857,597	3,234,579	102,471,908	(40,117,946)	72,974,619
Others	-	-	-	352,040	-	-	352,040
Unbilled Revenue	-	-	-	-	40,142,500	-	40,142,500
	62,865,599	133,707,945	77,725,432	47,232,267	1,790,075,839	(412,872,413)	1,698,734,667